

Q (1): ____ goods are those which are bought infrequently and the buying decisions are made without haste.

1.Shopping (~~This is the correct answer~~)

Explanation : Shopping goods are those which are bought infrequently and the buying decisions are made without haste, after comparisons as to suitability, quality, price etc.

2.Unsought

3.Either A or B

4.Convenience

5.Specialty (Your answer is incorrect)

Q (2): Strategic planning for marketing begins with-

1.SWOT analysis. (This is the correct answer)

Explanation : Strategic planning for marketing begins with SWOT analysis. The planning process must look at the company's strengths and weakness in relation to the opportunities and threats emerging in the environment.

2.Product survey.

3.Competitor's plans.

4.Target market.

5.Consumer's preferences. (Your answer is incorrect)

Q (3): Which of the following is not a dimension of 7Ps of service marketing mix?

1.Performance. (This is the correct answer)

Explanation : Marketing of products has 4 'P' dimensions, viz., Product, Price, Promotion and Place. These are used in specific combination to arrive at the marketing strategy. Services' marketing has three additional dimensions over and above the 4 Ps – People, Physical evidence and Process – making the requirements as 7 'P's.

2.Physical evidence.

3.Process.

4.People.

5.Product. (Your answer is incorrect)

Q (4): If an agent is serving only one principal, he may have exclusive rights and may be called a ____.

1.Service agent.

2.Sole-selling agent. (This is the correct answer)

Explanation : If an agent is serving only one principal, he may have exclusive rights and may be called a sole-selling agent. Mostly, though, agents are free-lancers, not exclusively attached to any one principal, in particular.

3.Principal-selling agent.

4.Free-lancer agent.

5.Authorized agent. (Your answer is incorrect)

Q (5): Under which insurance business almost the entire business from corporate bodies had been done through direct marketing?

1.Life insurance business.

2.Non-life insurance business. (This is the correct answer)

Explanation : In non-life insurance business, almost the entire business from corporate bodies had been done through direct marketing. Like in the group business of the L.I.C., the business was solicited by the officers of the insurers. Agents were not allowed to handle such businesses.

3.Health insurance business.

4.Both (a)&(b)

5.None of the above. (Your answer is incorrect)

Q (6): Which of the following statement is not true regarding "reference groups" that influence the buying behaviour?

1.Needs and wants would be influenced by reference groups.

2.A reference group is a fixed group. (This is the correct answer)

Explanation : The reference group is not a fixed group. Groups may consist of colleagues, neighbours, friends and

also family members or be religious or cultural groups. The influence of reference groups would be subtle.

3.The influence of the reference groups would be subtle.

4.Conformity would not be a necessary condition in the group.

5.None of the above. (Your answer is incorrect)

Q (7): Marketing concepts are based on the assumption that- I. The producer has choices on what to produce. II. The customer has choices on what to buy. III. The customer has to buy what is available in market.

1.Only (iii)

2.Only (ii)

3.Only (i)&(ii) (This is the correct answer)

Explanation : Marketing concepts are based on the assumption that the producer has choices on what to produce and the customer has choices on what to buy. In a situation where either the producer or the customer has no choice, there is hardly any scope of marketing.

4.Only (i)&(iii)

5.Only (i) (Your answer is incorrect)

Q (8): What can be the marketing implications on special characteristic “intangibility” of services? I. It is difficult to match demand and supply for the marketer. II. Services can be easily patented. III. Customers may not be able to assess service quality.

1.Only (ii)

2.Only (iii)

3.Only (i)&(iii) (This is the correct answer)

Explanation : This special characteristics intangibility has some marketing implications. Firstly, as services cannot be stored therefore it is difficult to match demand and supply for the marketers. Secondly, services cannot be easily patented therefore innovative services concepts can be easily copied. Thirdly, Customers may not be able to assess service quality as services cannot be easily communicated to customers.

4.Only (i)

5.Only (i)&(ii) (Your answer is incorrect)

Q (9): Which of the following statement is not true about insurance service sector?

1.In insurance, there is limited scope to use price as a strategic weapon.

2.The service of insurance actually exists at the time of the claim.

3.In insurance, every policy is a standard policy. (This is the correct answer)

Explanation : Every policy in insurance is customized and offer identical benefits. In insurance, it is as if the purchase has been forced. The need is not felt strongly.

4.All the insurance policies are customized.

5.In insurance it is as if the purchase has been forced. (Your answer is incorrect)

Q (10): In the insurance service business who can be considered as an intermediaries?

1.Agents.

2.Brokers.

3.Insurer.

4.Both (a)&(b) (This is the correct answer)

5.Both (a)&(c) (Your answer is incorrect)

Q (11): What is the objective(s) of the marketing activities? I. To create wants. II. Improve affordability. III. Maintain availability. IV. Advertise more.

1.Only (i)&(iii)

2.Only (ii),(iii)&(iv)

3.Only (ii)&(iii)

4.Only (i)&(ii) (This is the correct answer)

Explanation : One of the objectives of marketing activities is to create wants and also improve affordability. Different marketing programmes, will try to influence the wants and demands in the direction of their respective offers.

5.Only (i),(ii)&(iv) (Your answer is incorrect)

Q (12): Every asset is expected to last a certain period of time during which it is expected to -

1. Grow
2. Last
3. Appreciate
4. Depreciate
5. Perform (Your answer is correct)

Explanation : Every asset is expected to last a certain period of time during which it is expected to perform. the owner, aware of this, can so manage his affairs that by the end of that lifetime of the asset a substitute is made available to ensure that the benefits are not lost.

Q (13): Strategies will have to be - i. Necessarily innovative ii. Taking note of competition iii Taking note of changes in the environment

1. Only i
2. Only ii
3. Only iii
4. i and ii
5. i ii and iii (Your answer is correct)

Explanation : Strategies will have to be necessarily innovative, taking note of competition as well as of changes in the environment including developments in technology. A strategy, briefly, is a long term plan.

Q (14): Which of the following statement is true in regards with the services business?

1. The service sector contributes more than 55% of the GDP.
2. National barriers have become irrelevant when it comes to information.
3. They offer more jobs per unit investment.
4. New technology is driving many of them.
5. All the statements are true. (Your answer is correct)

Q (15): Why the principle of marketing does not apply to services?

1. Due to separability.
2. Due to availability.
3. Due to flexibility.
4. Due to intangibility. (This is the correct answer)

Explanation : Intangibility is one of the main characteristics of all services. For this reason, principle of marketing cannot be applied to services in the same manner as applicable to goods.

5. Due to demand and supply. (Your answer is incorrect)

Q (16): A development of internet to insurance business is called ____.

1. Fintech. (This is the correct answer)

Explanation : A development of internet to insurance business is called financial technologies or Fintech; many startups are into this business which is likely to disrupt radically the business models of banking, insurance, investments and asset management.

2. Intech.
3. Cleantech.
4. Asktech.
5. Edutech. (Your answer is incorrect)

Q (17): The aim of Bancassurance is ____.

1. To obtain synergies of two similar businesses. (This is the correct answer)

Explanation : The aim of Bancassurance is to obtain synergies of two similar businesses. Both insurance companies and banks have large networks of outlets and large numbers of clients, if they work together, the reach could be greater and there could be economies of scale, leading to lesser marketing costs.

2. To support its wealth creation and protection.
3. To increase its client list.

- 4.To provide the protection to its personnel.
- 5.To retain its clients by the help of insurance agreement. (Your answer is incorrect)

Q (18): Which of the following is not an advantage of distribution channel?

- 1.Increase the cost of distribution. (This is the correct answer)

Explanation : The advantages of the distribution channel are- reduce the cost of distribution both for producer and consumer, support by way of advice, supplements for promotional activities, a source of market intelligence, wide spread reach of producers etc..

- 2.Support by way of advice.
- 3.Supplements for promotional activities.
- 4.A source of market intelligence.
- 5.Wide spread reach of producers. (Your answer is incorrect)

Q (19): If there are ten shops in a street stocking furniture, what will be the first factor that will attract the unfamiliar customer towards the shop?

- 1.Its salesman appearance.
- 2.Physical facility. (This is the correct answer)

Explanation : If there are ten shops in a street stocking furniture, the customer unfamiliar with the shops will enter the one that appeals to him in physical appearance. From the appearance, he forms an opinion as to which one will have a bigger range to choose from.

- 3.The size of the shop.
- 4.The crowd of customers.
- 5.Shop nearest to the customer. (Your answer is incorrect)

Q (20): Under which insurance cover, insurer has a right to refuse the proposal as per the parameters in its underwriting manual?

- 1.Terrorism Risk Insurance Pool.
- 2.Motor Third Party Declined Risk Insurance Pool. (This is the correct answer)

Explanation : The IRDA has set up the India Motor Third Party Declined Risk Insurance Pool with effect from 1.4.2012, all proposals for liability only cover for commercial vehicles, which are declined by an insurer as per the parameters in its underwriting manual, will be ceded to the pool.

- 3.Health High Risk Insurance Pool.
- 4.Motor High Risk Insurance Pool.
- 5.Trading Risk Insurance. (Your answer is incorrect)

Q (21): Which of the following statement is not true regarding costs of quality?

- 1.Costs are often made an excuse for neglecting quality.
- 2.High quality and low price are not compatible. (This is the correct answer)

Explanation : High quality and low costs are compatible. The Japanese have proved it. Achieving quality may be costly, but bad quality could be more costly. If bad quality causes damage and there are compensation or liability claims, the costs can be very stiff.

- 3.The attempts to lower costs should not lead to unsatisfied customers.
- 4.Sharper focus on costs should not blur focus on customers.
- 5.All the above statements are true. (Your answer is incorrect)

Q (22): Name the centre setup by the government of India for promoting advanced breeding technology, as part of the programme on improved animal husbandry?

- 1.National Progeny Centre.
- 2.National Animal Centre.
- 3.National Genomic Centre. (This is the correct answer)

Explanation : The Government of India had provided `850 crores in the budget for 2016-17, for setting up a National Genomic Centre for promoting advanced breeding technology, as part of the programme on improved animal husbandry.

- 4.National Successors Centre.

5.None of the above. (Your answer is incorrect)

Q (23): What can't be the outcome of having differences in perception in people?

- 1.Preconceived notions.
- 2.See facts or data differently.
- 3.Objective about observations and judgments. (This is the correct answer)

Explanation : It is because of differences in perception that people are not objective about observations and judgments, they become prejudiced or biased, have preconceived notions, arguments and see facts and data differently.

- 4.Become prejudiced or biased.
- 5.Arguments. (Your answer is incorrect)

Q (24): Which of the following statement is not true about retailers in the distribution chain?

- 1.The retailer helps the customers by informing them of the relative merits of the alternatives.
- 2.Retail shops may be as small as the cigarette vendor on the footpath or as big as a departmental store.
- 3.The last person in the chain is the consumer. (This is the correct answer)

Explanation : The persons handling the movement are called intermediaries in the distribution chain. The route taken by the product is the distribution channel. The intermediaries are like way-side stations in the channel. The last person in the chain is the retailer, where the goods remain till the customer buys.

- 4.The retailer also keeps stocks of alternatives, so that the customers will have a choice.
- 5.All of the above statements are true. (Your answer is incorrect)

Q (25): In the subject of marketing management, the word 'market' refers to the aggregate of-

- 1.Existing consumers.
- 2.Potential consumers.
- 3.Only customers not consumers.
- 4.Both (a) and (b) (This is the correct answer)

Explanation : In the subject of marketing management, the word 'market' refers to the aggregate of consumers, both existing and potential.

- 5.None of the above. (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 02

Q (1): When the product of insurance does realized to the customer?

- 1.At the time of purchase.
- 2.At the time of interaction with agent.
- 3.At the time of maturity.
- 4.At the time of claim. (This is the correct answer)

Explanation : The product of insurance is realized only at the time of claim.

- 5.None of the above. (Your answer is incorrect)

Q (2): For which type of service sector, capital requirement is low?

- 1.Tax management.
- 2.Organisation development.
- 3.Export procedures.
- 4.Quality management.
- 5.All the above services. (Your answer is correct)

Explanation : For any type of advisory services like export procedures, quality management, tax management, organisation development, education etc. the capital required is low. One can choose his scale of operations. One can even go international through the internet.

Q (3): The elements of service, are in the interactions, which take place i. At the time of sale. ii. At the time of serving iii. At the time of claim

- 1.Only iii

- 2.Only ii
- 3.Only i
- 4.i and ii
- 5.All of the above (Your answer is correct)

Explanation : The elements of service, in the context of insurance, are not the benefits included in an insurance plan. The elements are in the interaction which the customer has with the office. These interactions take place at the time of sale, at the time of servicing while the policy is in force and at the time of claims.

Q (4): Which of the following statement is true in relation with the delivery system in insurance?

- 1.In insurance, the delivery system is more complicated than in most other services.
- 2.Systems have to be developed to ensure that both the insured and the insurer have the same understanding about what is on and what is not.
- 3.The system of the insurance company should automatically deliver all the details and instructions, so that the benefits of the coverage become available as promised, when required.
- 4.The second stage of the delivery system is at the time of making the claim.
- 5.None of the statements are incorrect. (Your answer is correct)

Explanation : In insurance, the delivery system is more complicated than in most other services. At the time of buying the policy of insurance, the coverage has to be clear, complete and specific. The second stage of the delivery system is at the time of making the claim. The procedures for the claim to be even considered have to be clearly known and communicated to the potential claimants.

Q (5): With the availability of the Internet as a vehicle for commerce, the concept of Reach has given way to the concept of Richness, which measures : i. Existing customers ii. Bandwidth iii. Interactivity

- 1.i ii and iv
- 2.i iii and iv
- 3.ii iii and i
- 4.ii iii and iv (This is the correct answer)

Explanation : Communication through advertisements in the media traditionally aims for maximum reach which refers to the number of persons likely to see the insertion. with the availability of the internet the concept of reach has given way to the concept of richness which measures - bandwidth : which is the amount of information that can be moved in a given time. depth of customisation : which is the extent to which the message can be personalised. interactivity : enabling dialogue.

5.i and iii (Your answer is incorrect)

Q (6): A product is the outcome of a process. This is so in services also. The process is ____ and ____

- 1.Interactive and functional (This is the correct answer)

Explanation : A product is the outcome of a process. This is so in services, so the process is functional and interactive. The process has systems, technology, and people. outcomes, systems, technology and people all contribute to quality.

- 2.Operational and interactive
- 3.Interactive and involving
- 4.Interactive and attractive
- 5.Attractive and functional (Your answer is incorrect)

Q (7): The business of Life Insurance was nationalized in ____.

- 1.1956 (This is the correct answer)

Explanation : In 1956, the business of Life Insurance was nationalized. At that time there were 245 companies in India, both Indian and foreign, with total assets of approximately Rs.400 crores.

- 2.1973
- 3.1972
- 4.1957
- 5.1982 (Your answer is incorrect)

Q (8): Which of the following is not an element of service in context of insurance?

1.Benefits in the insurance plan. (This is the correct answer)

Explanation : The elements of service, in the context of insurance, are not the benefits included in an insurance plan. The elements are in the interaction which the customer has with the office or its representatives (i) at the time of sale, (ii) at the time of servicing while the policy is in force and (iii) at the time of claim.

2.Insurer attitude at the time of sale.

3.Services provided at the time when policy is in force.

4.At the time of settlement of the claim.

5.Responsiveness towards the customer's queries. (Your answer is incorrect)

Q (9): In 1992 when Bombay suffered through communal riots and the serial explosions, several companies got together to fund a campaign called _____.

1.Help Bombay.

2.Salam Bombay. (This is the correct answer)

Explanation : In 1992 when Bombay suffered through communal riots and the serial explosions, several companies got together to fund a campaign called "Salam Bombay" complimenting and reinforcing the ability of its citizens to restore normalcy.

3.Restore Bombay.

4.Protect Bombay.

5.Restart Bombay. (Your answer is incorrect)

Q (10): Unlearning in person's behaviour is invariably necessary_____.

1.For change in behaviour.

2.Before change in behaviour can occur. (This is the correct answer)

Explanation : A person's behaviour is the outcome of a number of factors, which include his beliefs, attitudes, assumptions, values, expectations, etc., forming paradigms or patterns of thoughts. Any change in behaviour will happen only when some of these paradigms change.

3.After change in behaviour.

4.If person is willing to change.

5.None of the above statement is true. (Your answer is incorrect)

Q (11): Which of the following statement is not true regarding PR, promotion activity?

1.It is not merely advertisement and propaganda.

2.It is easy to evaluate the effectiveness of public relation. (This is the correct answer)

Explanation : It is difficult to evaluate the effectiveness of the PR because the target is the mind sets of people and therefore intangible as well as not measurable.

3.PR is normally organised as a part of the marketing department.

4.PR aims to establish better relations with the publics.

5.PR cannot succeed through sporadic unplanned activities. (Your answer is incorrect)

Q (12): Name the place from where the first Marine insurance risks was underwritten and still it exists?

1.The Lloyds house in France.

2.Bombay Mutual Assurance society Ltd.

3.The Lloyds coffee house in London. (This is the correct answer)

Explanation : The Lloyds coffee house in London, where the traders used to gather and from where the first insurance risks were underwritten, still exists and continues to be the centre of insurance activity.

4.British insurance company.

5.Albert house of insurance. (Your answer is incorrect)

Q (13): What does Cash Cow symbolize in BCG matrix?

1.Invest.

2.Liquidate

3.Stable. (This is the correct answer)

Explanation : Cash cows symbolize stable in BCG matrix. Cash cows are leaders in the marketplace and generate more cash than they consume. These products have high market share but low growth prospects.

- 4. Remain diversified.
- 5. Attractiveness. (Your answer is incorrect)

Q (14): Which of the following statement is not true regarding the micro insurance provided by the insurance companies for the poorer sections of society?

- 1. Micro insurance is for a lock-in period of 5 years.
- 2. Partial withdrawals are permitted under this policy.
- 3. It can be surrendered during a lock-in period of 5 years. (This is the correct answer)

Explanation : A new variable hybrid life policy cover was also recognised as micro insurance, which is a policy with systematic contributions with term insurance and a lock-in period of 5 years, during which surrender was not permitted, but partial withdrawals may be permitted.

- 4. Micro insurance can only be sold through specially licensed agent.
- 5. A new variable hybrid life policy cover was also recognised as micro insurance. (Your answer is incorrect)

Q (15): In which year, private insurers hit the insurance market?

- 1. 1980
- 2. 1956
- 3. 1870
- 4. 2000 (This is the correct answer)

Explanation : The insurance market was thrown open to private insurers in 2000. As on 31st March 2015, there were 23 private insurance companies transacting life insurance business in India.

- 5. 1856 (Your answer is incorrect)

Q (16): Which function includes design and administration of systems to control the flow of materials?

- 1. Material management.
- 2. Marketing management.
- 3. Selling concept.
- 4. Logistics management. (This is the correct answer)

Explanation : The word 'logistics' is used to refer to the entire operation of transportation and storage of goods, till they finally reach the customer. The intermediaries share the logistics.

- 5. Warehousing function. (Your answer is incorrect)

Q (17): Grouping in terms of Family Life Cycle, includes - i. Bachelor ii. Newly married iii empty nest II iv full nest t IV

- 1. ONLY i and ii
- 2. i and iii
- 3. ii and iv
- 4. i iii and iv
- 5. i ii and iii (Your answer is correct)

Explanation : Another grouping is in terms of the family life cycle. Wells and Gubar in their article in the journal of marketing research suggested following grouping - Bachelor, newly married, full nest I, full nest II, full nest III, Empty nest I, empty nest II, solitary survivor I and solitary survivor II.

Q (18): The future money is going to be _____

- 1. Digital and virtual
- 2. Online and electronic
- 3. Electronic and digital
- 4. Virtual and online
- 5. Electronic and virtual (Your answer is correct)

Explanation : The value of money had to be prevented from eroding over a period of time. From money minted in metal, to gold, to paper currency, future money is going to be electronic and virtual.

Q (19): Which of the following statement is true regarding "perception" of the customer behaviour?

- 1. What we really see or perceive is what our mind interprets of the reality outside.

- 2.Perception is a cognitive phenomenon.
- 3.The perception may be an accurate understanding of the reality.
- 4.One responds to the selected stimuli differently.
- 5.All the above statements are true. (Your answer is correct)

Explanation : Perception is very important in understanding customer behaviour. It is a visual and also a cognitive phenomenon. What we really see or perceive is what our mind interprets of the reality outside. One responds to the selected stimuli differently.

Q (20): ____ is the term used for the robots with whom you can chat.

- 1.Alexa
- 2.Siri
- 3.Artificial intelligence
- 4.Chatting
- 5.Chabot (Your answer is correct)

Explanation : Another important development is in the use of artificial intelligence in robots. Chatbot is the word for robots with whom you can chat.

Q (21): A standard of right and wrong in one's life is called ____.

- 1.Values. (This is the correct answer)

Explanation : Standards of right and wrong are called values. They vary between persons. They are not taught. People acquire their values from their surroundings.

- 2.Ethics.
- 3.Spirituality.
- 4.Religious.
- 5.Regulations. (Your answer is incorrect)

Q (22): The desire to have a product or service is called ____.

- 1.Want. (This is the correct answer)

Explanation : Customer wants are like the cherry on top of sundae. These are things that customers desire from your product but aren't necessarily deal breakers.

- 2.Need.
- 3.Utility
- 4.Consumption.
- 5.Attitude. (Your answer is incorrect)

Q (23): Which of the following is not refers as physical factor of marketing mix?

- 1.Discounts given on the products. (This is the correct answer)

Explanation : Physical factor refers to the layout of the office, ambience, the décor, the furnishings, the arrangements for reception and for waiting and even the fragrances, which can provide for satisfaction.

- 2.Layout of the office.
- 3.The furnishings and the décor.
- 4.The arrangements for reception.
- 5.The fragrances used in the place. (Your answer is incorrect)

Q (24): In early days which factor was considered as a strong determinant that affects the buying behaviour of the customers?

- 1.Comfort.
- 2.Price. (This is the correct answer)

Explanation : In early days, the buying decision was seen as a logical rational process. Price was regarded as a strong determinant.

- 3.Availability.
- 4.Pleasure.
- 5.Luxury. (Your answer is incorrect)

Q (25): What can be the opposite of empowerment?

1.Motivation.

2.Dependency. (This is the correct answer)

Explanation : Dependency is the opposite of empowerment. Empowerment can be learnt not taught. Empowerment will not happen through a formal delegation of authority.

3.Accomplishment of goal.

4.Delegation of authority.

5.Unskilled. (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 03

Q (1): Which of the following supporting activities cannot be performed by the insurer for making its social impact?

1.Adopting the village.

2.Making profit unethically. (This is the correct answer)

Explanation : Insurers can focus on supporting activities in areas like hygiene, sanitation, health, road safety, education, etc., which will impact on accidents and health and thereby impact their own business performances. Adopting villages is an option.

3.Providing education.

4.Sanitation.

5.Infrastructure. (Your answer is incorrect)

Q (2): Name the strategy in which a marketer sets a relatively high initial price for a product or service at first and then lowers the price over time?

1.Marketing research.

2.Growth strategy.

3.Price skimming. (This is the correct answer)

Explanation : Price skimming is a pricing strategy in which a marketer sets a relatively high initial price for a product or service at first and then lowers the price over time.

4.Test marketing.

5.Price discrimination. (Your answer is incorrect)

Q (3): What has brought in a total revolution in the ways of retail business?

1.Brand loyalty.

2.Choice of products.

3.On line markets. (This is the correct answer)

Explanation : The development of the internet as a means of communication has made it possible for the producer and the buyer to meet in cyberspace. On line trading has brought in a total revolution in the ways of retail market.

4.Distribution system.

5.Personal selling. (Your answer is incorrect)

Q (4): Which of the following statement is true about Rurban Mission? I. The mission is to create 300 Rurban growth cluster over the next 3 years across the country. II. This mission is meant to provide urban infrastructure amenities to the rural areas. III. It helps in enabling farmers to get easier access to markets and more job opportunities.

1.Only (ii)&(iii)

2.Only (i)&(iii)

3.All (i),(ii)&(iii) (This is the correct answer)

Explanation : In September 2015, the Government of India launched the Shyama Prasad Mukherjee Rurban Mission (SPMRM) under which, over the next 3 years, 300 clusters of villages across all the States and Union Territories will be created. The Rurban mission is meant to provide urban infrastructure amenities to the rural areas, enabling farmers to get easier access to markets and more job opportunities.

4.Only (i)&(ii)

5.Only (i) (Your answer is incorrect)

Q (5): Insurance falls into the category of which category of consumer goods?

- 1.Convenience
- 2.Shopping
- 3.Specialty
- 4.Unsought (This is the correct answer)

Explanation : Unsought goods are rarely thought of by customers. They are sold. Insurance falls into this category.

5.Either C or D (Your answer is incorrect)

Q (6): Which of the following contributes in establishing the manager's standards of ethics?

- 1.Society values and belief.
- 2.Individual's life experience.
- 3.Environmental situations.
- 4.All the above. (This is the correct answer)

Explanation : Society's values and belief, individual's life experience and environmental situations are the factors which contribute in establishing the manager's standards of ethics in an organisation.

5.None of the above. (Your answer is incorrect)

Q (7): How marketing concept is more advantageous for the producer than selling?

- 1.It helps in determining the price of the product.
- 2.It helps in designing the product better than the competitors.
- 3.It helps in planning the media for advertising the product in the market.
- 4.It helps in deciding the distribution channel to be used.
- 5.All the above statement. (Your answer is correct)

Explanation : Marketing concept is more advantageous for the producer because marketing focused on the customer and his behavior characteristics, in a manner in which selling did not. The marketing helps in designing the product, determining the price, deciding how to distribute and planning the media for advertisement and publicity.

Q (8): The influence of reference groups would be

- 1.Fixed
- 2.Indirect
- 3.Direct
- 4.Deviating
- 5.Subtle (Your answer is correct)

Explanation : The influence of reference groups would be subtle, it is not as if there would be explicit attempts to influence actions and decisions, conformity would not also be a necessary condition in the group but the sense of belonging would be such that members would naturally share the values and accept each other's approaches.

Q (9): Which of the following statement is true regarding empowered employees in an organisation?

- 1.Empowerment is learnt, not taught to the employees.
- 2.Empowered employees find solution to a problem.
- 3.It is difficult to monitor behavior of the empowered employees.
- 4.Empowered employees may dislike conforming to rules and procedures.
- 5.All the above statements are true. (Your answer is correct)

Explanation : An empowered employee focuses on results. He is not inhibited by formalities of position, authority or function. He does not consider himself bound by rules and procedures. Empowerment is learnt not taught.

Q (10): A complaint is an indication of inadequacy, which may be due to : i. Faulty perceptions. ii. The customer himself neglecting instructions. iii. Design of the delivery system

- 1.only i and iii
- 2.ONLY ii
- 3.Only iii
- 4.Only i and ii
- 5.i ii and iii (Your answer is correct)

Explanation : A complaint is an indication of inadequacy, which may be due to the design of the delivery system, t

he customer himself neglecting instructions or the faulty perceptions.

Q (11): About 47000 haats or weekly markets are there in the villages. These are also known as

1.Painths or shandies (This is the correct answer)

Explanation : About 47000 haats or weekly markets are there in the villages. These are also called painths or shandies. These are held on specific days of every week in the villages and are visited by villagers, within a radius of 5 to 10 kms.

2.Secondary market

3.Fixed price market

4.Fair price shops

5.B and D (Your answer is incorrect)

Q (12): The latest electronic fund transfer protocol launched by the National Payments Corporation of India was-

1.United Payment Interface. (This is the correct answer)

Explanation : The latest electronic fund transfer protocol called United Payments Interface (UPI), was launched by the National Payments Corporation of India on 11th April 2016.

2.Paytm.

3.United Payment through Internet.

4.Mobikwik.

5.Mobile Payment Application. (Your answer is incorrect)

Q (13): Which of the following is not true regarding ethics?

1.Ethics is same as law. (This is the correct answer)

Explanation : What an individual or a company does, depends on the values, not on the provisions of the law.

2.Ethics is contextual.

3.Ethics deals with questions of right and wrong.

4.Ethical in business is not ethical outside business.

5.None of the above statements. (Your answer is incorrect)

Q (14): In insurance, in India, till 2000 there was a ____ barrier to start an insurance but there was no barrier to become an insurance consultant.

1.Social

2.Legal (This is the correct answer)

Explanation : In insurance, in India, till 2000 there was a legal barrier to start an insurance but there was no barrier to become an insurance consultant, advising on what insurance to buy and helping to recover claims.

3.Political

4.Technological

5.Entry (Your answer is incorrect)

Q (15): What does “problem child” indicates as per Boston Matrix?

1.It indicates that product is a market leader and is a mainstay of the organisation.

2.It indicates a high growth industry but not doing as well as competitors. (This is the correct answer)

Explanation : As per Boston Matrix, the ‘Problem Child’ is in a high growth industry, but is not doing as well as the competitors. Perhaps, it requires commitment of higher resources.

3.It indicates that it has past its prime and has no further potential for growth.

4.It indicates that it has no present and no future ahead in the market.

5.It indicates that it is harming company and should kill as soon as possible. (Your answer is incorrect)

Q (16): Which of the following was the parent company of the New India Assurance?

1.IRDA

2.GIC (This is the correct answer)

Explanation : Previously, New India Assurance Company was a subsidiary of the General Insurance Corporation of India (GIC). But when GIC became a reinsurance company following the passage of the IRDA Act 1999, its four primary insurance subsidiaries New India Assurance, United India Insurance, Oriental Insurance and National Insurance

ce became autonomous.

3.United India Insurance company

4.Oriental insurance company ltd.

5.Life Insurance Corporation of India. (Your answer is incorrect)

Q (17): Niche marketing strategy are used by the organizations who want to-

1.To retain valuable customers that can be taken away by competitors.

2.To increase their sales instantly with increase in profit.

3.To focuses on unique target market who would most benefit from the offerings. (This is the correct answer)

Explanation : Niche marketing strategy is an advertising strategy that focuses on a unique target market. Instead of marketing to everyone who could benefit from a product or services, this strategy focuses on demographic of potential customers who would most benefit from the offerings.

4.To confront the market leaders and occupy an equally competitive position.

5.All the above statements. (Your answer is incorrect)

Q (18): What insurance does not do? I. Perils can be avoided through Insurance. II. It compensates the loss, may not be fully. III. Only economic and financial losses can be compensated.

1.Only (ii)

2.Only (ii)&(iii)

3.Only (i) (This is the correct answer)

Explanation : Insurance does not protect the assets. It does not prevent its loss due to the peril. The peril cannot be avoided through insurance.

4.Only (iii)

5.Only (i)&(iii) (Your answer is incorrect)

Q (19): Which one factor is more vital in building the customer experience regarding the quality of service?

1.Price of the service.

2.Ease to access.

3.Recognition. (This is the correct answer)

Explanation : Recognition is one factor more vital than any other. There can never be a perception of good service from a person who senses that he has been ignored.

4.Brand name.

5.Competence. (Your answer is incorrect)

Q (20): Insurance is based on the principle of-

1.Uberrima Fides.

2.Utmost good faith.

3.Consumer satisfaction.

4.Both (a) or (b) (This is the correct answer)

Explanation : Insurance is based on the principle of Uberrima Fides or utmost good faith. This requirement is mutual, binding on the insurance company, as much as it is binding on the policyholder.

5.Both (b) & (c) (Your answer is incorrect)

Q (21): Which of the following exploitation from an organisation is not approved by the society?

1.Unfair treatment for workers, customers and suppliers.

2.Disrespect of basic rights of members of society.

3.Organisation conceals real data about itself.

4.All the above statements. (This is the correct answer)

Explanation : Society does not approve of 'exploitation' by organisations. Exploitation includes unfair treatment of workers as well as of customers and suppliers. It demands justice in distribution of goods, fidelity to contracts and respect of basic rights of members of society.

5.None of the above statements. (Your answer is incorrect)

Q (22): How the government Pradhan Mantri Ujjwala Yojana is beneficial for women in India? I. This will reduce p

ollution within homes and outside. II. It will help in improving the health of the housewives in rural areas. III. It will provide 5 crore women with LPG cylinders.

- 1.Only (ii)
- 2.Only (i)&(iii)
- 3.Only (ii)&(iii)
- 4.Only (iii)
- 5.All (i),(ii)&(iii) (Your answer is correct)

Explanation : On 1st May 2016, the Government launched the Pradhan Mantri Ujjwala Yojana that would provide 5 crore women with LPG cylinders. This will reduce pollution, within the homes and outside, as well as improve the health of the housewives and rural population in general.

Q (23): The potential for productive use of discretion will be released, if people i. Are aware of company's goals ii. Get feedback on results & progress iii. Are given feedback about mistakes as opportunities for learning and growth

- 1.Only ii
- 2.Only iii
- 3.Only i
- 4.i and iii
- 5.i, ii, iii. (Your answer is correct)

Explanation : the potential for productive use of discretion will be released if : people are not afraid of sharing concerns and personal goals with superiors without fear that they may be used against them, are aware of company's goals and purposes, get feedback on results and progress, are given feedback about mistakes as opportunities for learning and growth.

Q (24): Which of the following statement is true regarding quality of service?

- 1.Quality of service gives competitive edge.
- 2.Quality of service adds value and provides more satisfying experience.
- 3.Quality helps in word of mouth publicity.
- 4.Quality is what the customer says it is.
- 5.All the above statements are true. (Your answer is correct)

Explanation : Quality is the value added offerings that provides a more satisfying experience, which makes the customer come back for more of the same pleasurable experience. It alone helps in the word of mouth publicity.

Q (25): A grievance has to be taken seriously because-

- 1.It indicates what customers expect.
- 2.Its warning that customer may be lost.
- 3.It gives clues as to what is going wrong.
- 4.It means that quality is not perceived as satisfactory.
- 5.All the above statements are true. (Your answer is correct)

Explanation : A customer has a grievance when he does not get what he thinks he is entitled to get. A grievance has to be taken seriously because (i) it indicates what customer expects and gives clues what is going wrong, (ii) it means that quality is not perceived as satisfactory, (iii) otherwise customer may be lost.

IC88 MARKETING AND PUBLIC RELATIONS - 04

Q (1): An employee can achieve conformity in behaviour through- I. Companies rules and regulations. II. Values of the employee. III. Skills and knowledge.

- 1.Only (ii) (This is the correct answer)

Explanation : Conformity in behaviour is achieved easier through shared values than through rules and regulations. Every member of an organisation must understand its values.

- 2.Only (iii)
- 3.Only (i)&(ii)
- 4.Only (ii)&(iii)

5.Only (i) (Your answer is incorrect)

Q (2): The laws prescribe that companies must set aside at least _____ of net profits towards activities of social responsibility.

1.2% (This is the correct answer)

Explanation : The laws prescribe that companies must set aside 2% of their net profits towards activities of social responsibility CSR. Many companies however, understand the role they have to play as responsible citizens and commit substantial resources to such issues.

2.1.50%

3.2.50%

4.3%

5.3.50% (Your answer is incorrect)

Q (3): Which of the following is the largest Non-life Insurance Company in India?

1.New India Assurance Company Ltd. (This is the correct answer)

Explanation : New India Assurance Company Ltd. is the largest non-life insurance company in India.

2.General Insurance Company.

3.United India Insurance Company Ltd.

4.ICICI Lombard General Insurance Company Ltd.

5.ING (Your answer is incorrect)

Q (4): In many marketing situations, which of the following can matter in strategic decision?

1.Promotion.

2.Price. (This is the correct answer)

Explanation : In many marketing situations, the price is a matter for strategic decision. The price carries images of the quality of the product concerned. Low price means the product is 'cheap', not only in money terms but also in status, prestige and durability. High price has the opposite connotations.

3.Features.

4.Product.

5.People. (Your answer is incorrect)

Q (5): What has to be seen as investment in ensuring the quality of services?

1.Experience of rendering services.

2.Training of the employees. (This is the correct answer)

Explanation : Training of the employee has to be seen as investment in ensuring the quality of services.

3.Appointing maximum employee.

4.Healthy working atmosphere.

5.Capital investment. (Your answer is incorrect)

Q (6): Which of the promotion mix strategy is practically having no scope in insurance sector?

1.Publicity.

2.Sales promotion. (This is the correct answer)

Explanation : There is practically no scope for sales promotion in insurance. One reason is that there are controls on the price that can be charged, viz., the premium. The IRDA's approval leaves no options to the insurer to use price as a lever to promote sales.

3.Advertisement.

4.Personal selling.

5.Public relation. (Your answer is incorrect)

Q (7): Non-life insurance business was nationalized in ____.

1.1957

2.1970

3.1973 (This is the correct answer)

Explanation : Non-life insurance business was nationalized in 1973. 107 Indian and foreign companies were integr

ated into four insurance companies, all of whom were subsidiaries of the General Insurance Corporation of India (GIC).

4.1972

5.1956 (Your answer is incorrect)

Q (8): What is the first step from where market research starts?

1.Consumer review.

2.Product design.

3.Product idea. (This is the correct answer)

Explanation : Market Research relates to the study of market, in order to understand its dynamic and changes in behaviour. It starts with the idea of the product company planning for introducing in the market.

4.Sales data.

5.Mail survey. (Your answer is incorrect)

Q (9): Which policy is applicable in services?

1.Error minimization.

2.Learn from mistakes.

3.Right first time. (This is the correct answer)

Explanation : The policy in services has to be "Right First Time". It takes more time and effort to detect and correct an error than to avoid it.

4.Take a risk and keep testing.

5.Recruit best candidate. (Your answer is incorrect)

Q (10): Insurance is closely linked to ____

1.Economy and finance

2.Society

3.Requirements

4.Trade and industry (This is the correct answer)

Explanation : The business of insurance, particularly non life business is truly international. Insurance is closely linked to trade and industry. Insurance along with banking provides the infrastructure for trade and industry to perform.

5.Business (Your answer is incorrect)

Q (11): Which of the following is a facilitating service?

1.Fire insurance.

2.Consultancy.

3.Museum.

4.General insurance. (This is the correct answer)

Explanation : Services that facilitate the availability of tangible products are facilitating services. General insurance is a facilitating service.

5.Security services. (Your answer is incorrect)

Q (12): In India, the Consumer Protection Act includes which of the rights of the consumer? I. Protects the consumer from the marketing of goods that are hazardous to life and property. II. Insists that the consumer be given information about the quality, quantity, potency, purity, standard and price of goods so as to protect him from unfair practices. III. Sets up fora at district, state and national levels to hear grievances of consumers and to provide due redress, relatively faster than ordinary trial courts.

1.Only (ii)

2.Only (iii)

3.Only (i)&(ii)

4.Only (ii)&(iii)

5.All (i),(ii)&(iii) (Your answer is correct)

Explanation : The Act includes (a) protects the consumer from the marketing of goods that are hazardous to life and property, (b) insists that the consumer be given information about the quality, quantity, potency, purity, standard and

nd price of goods so as to protect him from unfair practices and (c) sets up fora at district, state and national levels to hear grievances of consumers and to provide due redress, relatively faster than ordinary trial courts.

Q (13): The regulatory environment in insurance consists of-

- 1.The Insurance Act, 1938.
- 2.The inheritance laws.
- 3.Mercantile laws and practices.
- 4.The foreign exchange regulations.
- 5.All the above. (Your answer is correct)

Explanation : The regulatory environment in insurance consists of-

Q (14): Which of the following statement states the production orientation approach based on modern concept of marketing strategies?

- 1.Increased production does not lead necessarily to bigger markets.
- 2.There must be customers to buy the production and generate revenue.
- 3.Customers should be turned up through informing and attracting them towards products.
- 4.The product should be easily available at the convenience of the customers.
- 5.All the above statements are true. (Your answer is correct)

Explanation : The modern concept of production orientation states that there must be customers to buy the product and generate revenue. Large numbers of customers do not turn up automatically. They have to be informed and attracted, sometimes even persuaded. Product must be known to customers that where they are available.

Q (15): Appropriate leadership that makes people skilled and empowered, sensitive to problems and responsive to customers' needs, with ability to build work teams refers to-

- 1.People management. (This is the correct answer)

Explanation : People management refers to appropriate leadership that makes people (employees) skilled and empowered, sensitive to problems and responsive to customers' needs, with ability to build work teams.

- 2.Customer management.
- 3.Service management.
- 4.Business management.
- 5.None of the above. (Your answer is incorrect)

Q (16): The sales orientations aimed at maximizing the sales, through the - i. Offer of discounts ii. Maximizing production iii. Through economies and technology iv. Campaigns and publicity

- 1.i and iv (This is the correct answer)

Explanation : The sales orientation aimed at Maximizing sales, through the offer of discounts, heavy promotional Campaigns and publicity. This orientation still prevails among many producers and it works to some extent.

- 2.i, ii and iv
- 3.i, ii iii and iv
- 4.Only i and ii
- 5.iii and ii (Your answer is incorrect)

Q (17): Which of the following relates to the study of the market, in order to understand its dynamic and changes in its behaviour?

- 1.Market research. (This is the correct answer)

Explanation : Market Research relates to the study of the market, in order to understand its dynamic and changes in its behaviour. The research involves systematic collection of data, to be analyzed, evaluated and used for marketing decisions.

- 2.Marketing changes.
- 3.Market structure.
- 4.Organizational efforts.
- 5.Marketing strategies. (Your answer is incorrect)

Q (18): In restaurants, the experience of the service can be influenced by-

- 1.Restaurant infrastructure.
- 2.Other customer present at same time. (This is the correct answer)
Explanation : The experience of a service is influenced by others present at the same time. This is so in conducted t
ours, restaurants, theatres, and aircraft. The behaviour of the others may give one either pleasure or irritation.
- 3.The bill paying facility.
- 4.Quality of the food.
- 5.Tools and equipment used in proving services. (Your answer is incorrect)

Q (19): What Ps is added to the original four Ps of marketing mix? I. Packaging. II. People. III. Process. IV. Physic
al factors.

- 1.Only (iii)&(iv)
- 2.Only (ii),(iii)&(iv) (This is the correct answer)

Explanation : Three further Ps have been added to the original four. These additions had been found necessary in th
e context of the marketing of services. These three Ps are People, Process and Physical factors. Insurance is a service
business. Therefore all the 7Ps would apply to insurance.

- 3.Only (i),(ii)&(iii)
- 4.Only (i)&(ii)
- 5.Only (i),(ii)&(iv) (Your answer is incorrect)

Q (20): Which technology is used by the “101 commerce services” in the rural areas that connect small retailers and
consumers?

- 1.E-commerce services.
- 2.Platform shop X. (This is the correct answer)

Explanation : Among the many entrepreneurs seeing business opportunities in the rural areas is 101 Commerce Ser
vices. It is set to help traditional shops fight online organised retailers with the use of technology. With its technolog
y platform Shop X, it seeks to provide small retailers the same level of technology, logistics and supply which e-co
mmerce or organised retail uses.

- 3.Logistics techno.
- 4.Both (a)&(c)
- 5.None of the above. (Your answer is incorrect)

Q (21): On which areas service quality should keep an attention? I. People management. II. Processes. III. Promotio
n.

- 1.Only (ii)
- 2.Only (ii)&(iii)
- 3.Only (i)&(ii) (This is the correct answer)

Explanation : Quality in service requires attention on three areas- customer, people management and processes.

- 4.Only (i)
- 5.All (i),(ii)&(iii) (Your answer is incorrect)

Q (22): What refers to the process of selling of life assurance and other insurance products and services by banking
institutions?

- 1.Retail insurance.
- 2.Insurance marketing.
- 3.Bancassurance. (This is the correct answer)

Explanation : Bancassurance refers to an agreement between banks and the insurance companies. It means the selli
ng of life assurance and other insurance products and services by banking institutions.

- 4.Insurance distribution.
- 5.Insurance banking. (Your answer is incorrect)

Q (23): Which traditional marketing approach is still prevailing among many producers to maximize sales?

- 1.Production orientation.
- 2.Product orientation.
- 3.Sales orientation. (This is the correct answer)

Explanation : The sales orientation which aimed to maximize sales through the offer of discounts, heavy promotion and campaigns and publicity. This orientation still prevails among many producers. It works to some extent. For it to succeed, the relevant people must know about it.

4. Cost orientation.

5. Place orientation. (Your answer is incorrect)

Q (24): losses which are paid are termed as

1. Sum assured

2. Sum insured

3. Ex gratia payments

4. Claim (This is the correct answer)

Explanation : Losses which are paid are termed as claims. The share which is collected is called the premium. Maximum amount of loss expected is called the sum assured.

5. Policy Benefits (Your answer is incorrect)

Q (25): Which of the following is an implication of inseparability? I. Produced after purchased. II. Cannot be stored. III. Difficult to check quality. IV. Sampling not possible.

1. Only (ii) & (iii)

2. Only (i) & (ii)

3. Only (i), (iii) & (iv)

4. Only (i), (ii) & (iii) (This is the correct answer)

Explanation : Implications of inseparability are that services cannot be stored, the service product cannot be experienced before purchase and it is difficult to check quality in service because consumption takes place as and when it is being produced. Sampling not possible is an implication of intangibility.

5. Only (iii) & (iv) (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 05

Q (1): In relationship marketing, how to build and boost true customer loyalty?

1. By making customers feel appreciated.

2. Being consistent and timely in interactions.

3. By establishing trust towards product and brand.

4. By seeking feedback.

5. All the above. (Your answer is correct)

Explanation : In relationship marketing, strong customer relationships and loyalty can be built through making customer feel appreciated, being consistent and timely in interactions, taking feedback and by establishing trust towards product and brand.

Q (2): The rural population is the lowest in the state of _____.

1. Kerala.

2. Goa.

3. Nagaland.

4. Sikkim.

5. All the above. (Your answer is correct)

Explanation : The rural population is the lowest in the states of Kerala (26%), Goa (19%), Nagaland (15%) and Sikkim (5%).

Q (3): Which of the following terms is not related to the insurance sector?

1. Annuity

2. Coverage

3. Indemnity

4. Ombudsman

5. Misuse alarm (Your answer is correct)

Explanation : Insurance sector related terms are annuity, coverage, indemnity, ombudsman etc.

Q (4): As per the last census, the rural area is defined by the IRDA as a place in which the population_____.

1.Does not exceed 5000. (This is the correct answer)

Explanation : The rural area is defined by the IRDA as a place in which the population does not exceed 5000, as per the last census.

2.Is less than 4000.

3.Does not exceed 10,000.

4.Not more than 6000.

5.Is more than 5000. (Your answer is incorrect)

Q (5): The word_____ is used to refer to the entire operation of transportation and storage of goods, till they finally reach the customer.

1.Logistics. (This is the correct answer)

Explanation : The word 'logistics' is used to refer to the entire operation of transportation and storage of goods, till they finally reach the customer.

2.Distribution.

3.Production.

4.Wholesaler.

5.Marketing. (Your answer is incorrect)

Q (6): Which of the following statement is not true regarding Insurance companies transacting non-life insurance business in India?

1.Only four public sector insurance companies were doing specialized business in the areas of Agriculture insurance and Export and Import related insurances. (This is the correct answer)

Explanation : As on 31st March 2015, out of 28 non-life insurance companies in India only 2 public sector insurance companies were doing specialized business in the areas of Agriculture insurance and Export and Import related insurances.

2.Companies taken over by the government and the GIC began functioning as the National reinsurer.

3.Out of 22 non-life insurance companies, five were doing only health insurance business.

4.As on 31st March 2015, there were 28 insurance companies transacting non-life insurance business in India.

5.The non-life insurance companies had 10,407 offices across India. (Your answer is incorrect)

Q (7): In the case of insurance, sale is mostly done through_____.

1.Internet.

2.Personal selling. (This is the correct answer)

Explanation : In the case of insurance, the sale is mostly done through personal selling and the place will be the buyer's home or office.

3.E-commerce.

4.Public relations.

5.Cyberspace. (Your answer is incorrect)

Q (8): When ____ exists, there is no need for any kind of documentation.

1.Credibility

2.Reliability (This is the correct answer)

Explanation : When reliability exists, there is no need for documentation. Reducing the promise into writing, even as a legal document does not improve reliability.

3.Responsiveness

4.Courtesy

5.Faith (Your answer is incorrect)

Q (9): Which term defines that the customer is not happy with his purchase after buying it and motivated to re-evaluate his opinions about the purchase?

1.Post purchase doubt.

2.Cognitive dissonance. (This is the correct answer)

Explanation : Cognitive dissonance is a psychological theory which proposes that customers is not happy with his purchase after buying the product and motivated to re-evaluate his opinions, beliefs and attitude about the purchase.

3.Evaluative process.

4.Customer satisfaction.

5.Safety distress. (Your answer is incorrect)

Q (10): Out of the working population of 48.3 crores in the rural areas, only 362 or 75% had work for six months. This group is called as _____.

1.Working group.

2.MGNREGA Group.

3.Main workers. (This is the correct answer)

Explanation : Out of the working population of 48.3 crores in the rural areas, only 362 or 75% had work for six months. This group is called 'main' workers.

4.Part-time workers.

5.None of the above. (Your answer is incorrect)

Q (11): What was not specified in the code of conduct laid down by the IRDA for the insurance agent?

1.Take into account the needs of the prospect while recommending the insurance plan.

2.Advice policyholders to make nominations.

3.Agents have the right to make the amendments and customised the plan. (This is the correct answer)

Explanation : The code specifies that the agent must give to the prospect requisite information about the proposals offered for sale, indicate the premium to be charged, advise to make nominations, inform about the progress of the proposal etc.

4.Indicate the premium to be charged for the proposal plan.

5.Render necessary assistance to the claimants in complying with the requirements for settlements of claims. (Your answer is incorrect)

Q (12): While purchasing an aircraft, what can be the significant factors that may influence the purchase decision of the customer? I. Training of pilots. II. Training of repairing aircraft. III. Help in recruiting experienced pilot.

1.Only (iii)

2.Only (ii)

3.Only (i)&(ii) (This is the correct answer)

Explanation : While purchasing an aircraft, the arrangements for training pilots and for repairs would be the significant factors that may influence the purchase decision of the customer.

4.Only (i)

5.Only (i)&(iii) (Your answer is incorrect)

Q (13): Marketing concepts suggest that products are developed in response to- I. Technological advancement. II. Fortuitous emergence of some by-product. III. Profit maximization.

1.Only (iii)

2.Only (ii)

3.Only (ii)&(iii)

4.Only (i)&(ii) (This is the correct answer)

Explanation : Marketing concepts suggest that not only needs felt by the consumers but also technological advancement or fortuitous emergence of some by-product in the course of efforts to develop something else, may lead to creation of needs and demands.

5.All (i),(ii)&(iii) (Your answer is incorrect)

Q (14): Which of the following is not a motive of the schemes under the Government Mission Antyodaya?

1.To provide self employment for the rural poor.

2.Improving the skills of the rural poor people.

3.Providing houses for the poor rural people.

4.Providing agricultural products to the rural people. (This is the correct answer)

Explanation : The National Rural Livelihood Mission, the Deen Dayal Upadhyaya Grameen Kaushalya Yojana, the National Social Assistance Programme and the PMAY- G. These four schemes of Government Mission Antyodaya are meant to provide self employment for the rural poor, for improving their skills, for improving social standards and for providing houses for the rural poor.

5.Improving social standards to the rural people. (Your answer is incorrect)

Q (15): In the case of insurance, which of the following can provide the maximum satisfaction to the policyholder? Behaviour of the agent at the time of the purchase. Responses of the office staff to his queries. The behaviour of the person handling claim.

1.Only (ii)

2.Only (iii)

3.Only (i)&(ii)

4.Only (i)&(iii)

5.All (i),(ii)&(iii) (Your answer is correct)

Explanation : In the case of insurance, the policyholder can experience the maximum satisfaction through-(i) Behaviour of the agent at the time of the purchase. (ii)Responses of the office staff to his queries. (iii) The behaviour of the person handling his claims.

Q (16): The word ____ is used to refer to the entire operation of transportation and storage of goods, till they finally reach the customer.

1.Marketing

2.Product processing

3.Production

4.Product development

5.Logistics (Your answer is correct)

Explanation : The word "logistics" is used to refer to this entire process. The costs of logistics form a significant part of the total costs of the product and have to be carefully managed.

Q (17): Which of the statement is not true regarding the cost orientation marketing approach?

1.It aimed to improve profits of the organisation by increasing sales.

2.It focuses on reducing production and operating costs through efficiencies and technology.

3.Sales can be increased by reducing price of the product which can bring in revenue.

4.As per customers value is in the money saved not in the quality of the product.

5.Increase the cost of the product by producing quality product which can increase revenue. (Your answer is correct)

Explanation : The cost orientation aimed to improve profits by reducing the production and operating cost, through efficiencies and technology. The fallacy here is that reduced costs do not bring in revenue. People do not always, prefer cheaper products. Value may not be in the money saved but in the quality.

Q (18): As per the strategies explained in the Boston Matrix, what is the appropriate strategy for a cash cow?

1.Harvest (This is the correct answer)

Explanation : The appropriate strategies are called Build for stars, Hold for problem child, Harvest for the Cash Cows and Divest for the Dogs.

2.Divest

3.Hold

4.Build

5.Kill (Your answer is incorrect)

Q (19): Those who are part of the Collusion pricing or such agreement, are said to have formed a ____

1.Cartel (This is the correct answer)

Explanation : Those who are part of such Collusion pricing agreements are said to have formed a cartel.

2.Group

3.Consortium

4.Syndicate

5.Pool (Your answer is incorrect)

Q (20): Which of the following statement is true regarding claimants in insurance?

1.All of these (This is the correct answer)

Explanation : The customer in insurance is not only the person who makes the decision to buy, but also the person who makes the claim for the insurance company.

2.In life insurance, the claimant will be the nominee or heirs.

3.The claimant is not a customer in insurance.

4.The claimant may not be the policyholder.

5.The claimant would be seeking redemption of the promise made. (Your answer is incorrect)

Q (21): In the service business, the delivery system is a _____ part of the product.

1.Core.

2.Peripheral. (This is the correct answer)

Explanation : In the service business, the delivery system is a peripheral part of the product. Every different method of accessing the service is a different peripheral, modifying the product through depth.

3.Customization.

4.Central.

5.Fundamental. (Your answer is incorrect)

Q (22): When obsolescence sets in, the product gets into the ____ stage.

1.Inclining

2.Declining (This is the correct answer)

Explanation : When obsolescence sets in, the product gets into the declining stage. There are two main reasons : i. Loss of utility, because new products have become available. ii. Planned obsolescence - this happens in fashion wear, automobiles etc.

3.Maintenance

4.Augmentation

5.Failure (Your answer is incorrect)

Q (23): Which type of service does not facilitate the consumption of core service, but are used to increase the value of services?

1.Facilitating services.

2.Supporting services. (This is the correct answer)

Explanation : Supporting services do not facilitate the consumption of core service, but are used to increase the value, and thereby differentiate it from the competitor's services.

3.Core services

4.Customer participation.

5.Interaction with service organisation. (Your answer is incorrect)

Q (24): Pankaj had booked a room in a 5-star hotel. When he checked in at his hotel room he got angry as he found that his bed sheet was dirty. Which dimension of 'service quality' is reflected here?

1.Responsiveness.

2.Empathy.

3.Tangibles. (This is the correct answer)

Explanation : Tangibles refers to the appearance of the service that is being provided. It is a dimension of service quality. Dirty bedsheet made the customer dissatisfied.

4.Reliability.

5.Responsibility. (Your answer is incorrect)

Q (25): What was the reason for which Ralph Nader started a "consumerism movement" in the USA in the 1950s?

1.To protect the rights of consumers of getting aware about the company.

2.Consumers were charged high price by the manufacturers.

3.Manufacturers neglecting the safety features to be written on product. (This is the correct answer)

Explanation : Consumerism movement in the 1950s was begun by Ralph Nader protesting against death and injuries in car accidents, caused mainly because manufacturers neglected safety features.

4.Deceived Consumer product without reducing price.

5.Not having the customer care number for registering their complains. (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 06

Q (1): Who can be considered as retailer in the insurance business?

1.There is no retailer in insurance.

2.Surveyors.

3.Agents. (This is the correct answer)

Explanation : Agents perform the task of retailers, giving customer's information about the available choices as well as letting the producer know the requirements of the customer. They may also arrange for financing the transaction, like the way a retailer gives credit.

4.Insurer.

5.All intermediaries. (Your answer is incorrect)

Q (2): Name the method which aims to capture the market and increase the sales volume of the product?

1.Marketing.

2.Management.

3.Distribution.

4.Sales promotion. (This is the correct answer)

Explanation : Sales promotion is the method of the promotion mix which aims to capture the market and increase the sales volume of the product.

5.None of the above. (Your answer is incorrect)

Q (3): Which of the following is not a type of strokes that provides great satisfaction?

1.A word of comfort.

2.An assignment of importance.

3.A smile.

4.Called by a token number. (This is the correct answer)

Explanation : A word of comfort or of praise, an enquiry of welfare, a nod of recognition, an assignment of importance, a smile, a wink, being called by name (instead of by a token number), all constitute strokes. Though not physical, these strokes provide great satisfaction.

5.A wink. (Your answer is incorrect)

Q (4): In the earlier days, the economic model of consumer behavior was taken for granted. It made the following assumptions - i. A buyer had numerous wants and needs, but limited purchasing power. ii. Being a rational human being, the buyer would be interested in getting the most favorable deal. iii he would therefore, collect full details about the available options, balance the relative utility of one purchase against that of another and do that which will maximize his utility.

1.Only i

2.Only ii and iii

3.Only iii

4.ii and i

5.All of the above (Your answer is correct)

Explanation : In the earlier days, the economic model of consumer behavior was taken for granted in which all the above assumptions were made.

Q (5): What are the different concepts that are useful in understanding the consumer behaviour? I. Strokes. II. Perception. III. Buying process. IV. Dissonance.

1.Only (ii), (iii)&(iv)

2. Only (ii)&(iii)
3. Only (i),(ii)&(iii)
4. Only (ii)&(iv)
5. All (i),(ii),(iii)&(iv) (Your answer is correct)

Explanation : The different concepts that are useful in understanding the consumer behaviour are buying behaviour, buying process, attitudes, perception and socio-economic groups.

Q (6): Which of the statement is true regarding Self Help Groups?

1. There are 26 lakh SHGs in the country comprising of 8 crores members.
2. The SHGs help the members to connect to the banks, ensuring mortgage and arranging loans.
3. SHGs are allowed to be agent for micro insurance.
4. SHGs are informal association of people.
5. All the above statements are true. (Your answer is correct)

Explanation : SHGs are informal association of people who can also be defined as self governed. There are 26 lakh SHGs in the country comprising of 8 crores members. This group help the members to connect to the banks, ensuring mortgage and arranging loans.

Q (7): BCG in BCG Matrix stands for_____.

1. Boston Consulting Group. (This is the correct answer)

Explanation : The Boston Consulting Group had developed a grid known as the Boston Matrix, to do this analysis. The purpose of such review would be to determine whether any of the products need to be taken out of the offer or need to be strengthened further.

2. British Consulting Group.
3. British Corporate Group.
4. Boston Corporate Group.
5. Business Consulting Group. (Your answer is incorrect)

Q (8): Traditional model of doing business is also known as_____.

1. Pipe model. (This is the correct answer)

Explanation : Traditional model of doing business is also known as Pipe model. In the traditional model, a producer makes goods and sends it through a pipe to the consumers, who buy it for a value.

2. Tank model.
3. Platform model.
4. Algorithms marketing.
5. Analytical model. (Your answer is incorrect)

Q (9): Which process is not fundamental in explaining how consumers think and learn about offerings?

1. Personality. (This is the correct answer)

Explanation : Consumer behaviour refers to individual buying behaviour. The processes such as cognitive, perception and learning are fundamental in explaining how consumers think and learn about offerings (product and the brand).

2. Perception.
3. Cognitive.
4. Learning.
5. Thoughts. (Your answer is incorrect)

Q (10): In which year the Non-life insurance was nationalised?

1. 1956
2. 1973 (This is the correct answer)

Explanation : In the year 1973, the Non-life insurance was nationalised.

3. 1954
4. 1965
5. 1983 (Your answer is incorrect)

Q (11): When the Government has launched the Pradhan Mantri Ujjwala Yojana?

1.14th April 2016.

2.1st May 2016. (This is the correct answer)

Explanation : On 1st May 2016, the Government launched the Pradhan Mantri Ujjwala Yojana that would provide 5 crore women with LPG cylinders.

3.22nd May 2016.

4.15th August 2016.

5.2nd June 2016. (Your answer is incorrect)

Q (12): While fixing prices of services, which characteristic has to be considered seriously?

1.Tangibility.

2.Perishability. (This is the correct answer)

Explanation : While fixing prices of services, the perishability characteristic has to be considered seriously because fluctuations in demand cannot be met through stock inventory like physical products.

3.Homogeneity.

4.Ownership.

5.Availability. (Your answer is incorrect)

Q (13): Poor quality becomes the norm when the following assumptions prevail: i Quality is provided by people ii Quality can always be improved iii Quality is to be maintained iv One can never be perfect v to err is human

1.Only i ii and iii

2.Only iv and v

3.i iii and iv (This is the correct answer)

4.i iv and v

5.All of the above (Your answer is incorrect)

Q (14): When the government of India has launched the Shyama Prasad Mukherjee Rurban Mission?

1.July 2017.

2.August 2016.

3.September 2015. (This is the correct answer)

Explanation : In September 2015, the Government of India launched the Shyama Prasad Mukherjee Rurban Mission (SPMRM) under which, over the next 3 years, 300 clusters of villages across all the States and Union Territories will be created.

4.October 2014.

5.November 2013. (Your answer is incorrect)

Q (15): Who has provided the instructions that all insurers must transact a certain minimum business in the rural areas? I. The Insurance Act. II. The IRDA regulations. III. The underwriter.

1.Only (ii)

2.Only (ii)&(iii)

3.Only (i)&(ii) (This is the correct answer)

Explanation : The Insurance Act and the IRDA regulations provide that all insurers must transact a certain minimum business in the rural areas. The regulations issued by the IRDA in 2009 revised the minimum business requirements upwards.

4.Only (i)

5.All (i),(ii)&(iii) (Your answer is incorrect)

Q (16): Nav Kalpana Kosh, programme of Government of India for rural areas was meant to focus on- Agriculture. Education. Governance.

1.Only (ii)

2.Only (iii)

3.Only (i)&(ii)

4.Only (i)&(iii) (This is the correct answer)

Explanation : Programme of the Government of India is called Nav Kalpana Kosh and is meant to study various in

novations and submit reports to improve rural areas at various levels such as governance, agriculture and hygiene. This will also monitor the progress of various programmes of development in the rural areas.

5.Only (ii)&(iii) (Your answer is incorrect)

Q (17): Which of the following Ps of the marketing mix is not suitable and would not apply to insurance sector?

1.People

2.Physical factors.

3.Process.

4.Pre-sale. (This is the correct answer)

Explanation : The 7Ps are People, Place, Promotion, Price, Process, Physical factors and Product. Insurance is a service business. Therefore all the 7Ps would apply to insurance.

5.Place. (Your answer is incorrect)

Q (18): In the insurance companies, the values can be judged through-

1.Support to government policies while investing funds.

2.Biases in dealing with employees or client.

3.Extent to which the laws and regulations will be observed or avoided.

4.The attitude towards settlement of claims.

5.All the above statements. (Your answer is correct)

Explanation : The values in the insurance companies will relate to the claim settlement, support of government policies while investing funds, extent to which laws and regulations will be observed or avoided and unequal treatment with employees or clients.

Q (19): What are the important factors to be taken care of in planning programmes and activities? Leverage. Consistency. Integration.

1.Only (ii)&(iii)

2.Only (i)&(ii)

3.Only (i)&(iii)

4.Only (ii)

5.All (i),(ii)&(iii) (Your answer is correct)

Explanation : Three important factors to be taken care of in planning programmes and activities are consistency, integration and leverage.

Q (20): Which peripheral can be highlighted if the customer in bank operates savings bank accounts?

1.Cash deposit and withdrawal speed.

2.Ability to operate account without going to bank.

3.Providing higher interest on saving accounts.

4.Speed of providing credit for cheques deposited.

5.All the above statements are true. (Your answer is correct)

Explanation : The customers in banks operate savings bank accounts. Peripherals are in speed with which deposits and cash withdrawals happen, credit for cheques deposited, ability to operate account without going to the premises of the bank and so on.

Q (21): Before nationalisation, private insurers used to neglect the rural markets for a number of reasons most of which related to i. poor connectivity ii. relatively spread out populations iii. relatively poor incomes

1.i only (This is the correct answer)

Explanation : Apart from the fact that about 70% of the people live in rural areas the rural economy was vital for the country. Before nationalisation, private insurers used to neglect the rural markets for a number of reasons most of which related to - poor connectivity, relatively spread out populations and relatively poorer incomes.

2.iii and ii

3.i and ii

4.i and iii

5.All of the above (Your answer is incorrect)

Q (22): Wants create demands, subject to the factor of ____.

1.Affordability. (This is the correct answer)

Explanation : Wants create demands, subject to the factor of affordability. If there is no capacity to buy, the want will remain unfulfilled.

2.Availability.

3.Possibility.

4.Unavoidable.

5.Social acceptance. (Your answer is incorrect)

Q (23): Which service sector includes the activities that facilitate the exchange of products in the other three sectors ?

1.Quaternary sector. (This is the correct answer)

Explanation : The Quaternary sector, which includes activities that facilitate the exchange of products in the other three sectors. Transportation, commerce, advertisement, packaging and administration belong to this group.

2.Quinary sector.

3.Tertiary sector.

4.Secondary sector.

5.Construction sector. (Your answer is incorrect)

Q (24): Insurance company collects the share in advance. What “share” here means?

1.Claims.

2.Premium. (This is the correct answer)

Explanation : Insurance Company collects the share in advance, which is called the premium.

3.Contribution of equity shareholders.

4.Sum assured.

5.Funds collected. (Your answer is incorrect)

Q (25): Which activities are included under the tertiary sector?

1.Manufacturing.

2.Entertainment. (This is the correct answer)

Explanation : The Tertiary Sector, which includes ancillary and support services like restaurants, laundry, hospitals, hotels, entertainment, maintenance and so on.

3.Advertisement.

4.Construction.

5.Packaging. (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 07

Q (1): Who said that there are four levels of acceptable service - ‘Good’, ‘Very Good’, ‘Near Perfect’ and ‘WOW’?

1.John Humble.

2.Robert Galvin. (This is the correct answer)

Explanation : Robert Galvin, Chairman of the Executive Committee of Motorola Inc., said that there were four levels of acceptable service - ‘Good’, ‘Very Good’, ‘Near Perfect’ and ‘WOW’.

3.Malcolm Balridge.

4.Edward Bernays.

5.David Aaker. (Your answer is incorrect)

Q (2): Quality is measured by the extent of _____ of the customer that uses a particular service/goods

1.Experience

2.Behaviour

3.Satisfaction (This is the correct answer)

Explanation : Quality is measured by the extent of satisfaction of the customer. There is no other measure. The more satisfied the customer is, the better the quality.

4.Requirement

5.Price (Your answer is incorrect)

Q (3): When was the National agriculture Market (NAM) was inaugurated in India?

1.14th April 2015.

2.15th March 2016.

3.14th April 2016. (This is the correct answer)

Explanation : Inaugurated on 14th April 2016, the National Agricultural Market (NAM), is an electronic trading portal, which will connect 21 wholesale agricultural markets (mandis) in 8 states immediately and 585 mandis in India by March 2018. The farmer will be able to know the prevailing process in all these mandis and sell at the place of his choice.

4.15th August 2017.

5.28th October 2107. (Your answer is incorrect)

Q (4): Why market segmentation is carried out?

1.To maximize the customers for the production done.

2.To assign different group of customers to sales agent.

3.For grouping together customers with similar needs. (This is the correct answer)

Explanation : Market segmentation is carried out for grouping together customers with similar needs.

4.For grouping together customers with similar education.

5.To maximize the production in comparison to competitors. (Your answer is incorrect)

Q (5): On which principle the business of insurance operates?

1.Principle of contribution.

2.Principle of protection.

3.Principle of promise.

4.Principle of indemnity. (This is the correct answer)

Explanation : The business of insurance operates basically on the principle of indemnity. This principle asserts that on the happening of a loss the insured shall be put back into the same financial position as he used to occupy immediately before the loss.

5.Principle of redemption. (Your answer is incorrect)

Q (6): Which of the following sector is not included for performing economic activities?

1.Tertiary sector.

2.Quaternary sector.

3.Quinary sector.

4.Temporary sector. (This is the correct answer)

Explanation : Economic activities are generally divided into five sectors i.e. primary sector, secondary sector, tertiary sector, quaternary sector and quinary sector.

5.Primary sector. (Your answer is incorrect)

Q (7): In the process of distribution, the product will be handled by many persons. The persons handling the movement are called _____ in the distribution chain

1.Point of sales

2.Points of contact

3.Moments of truth

4.Retailer

5.Intermediaries (Your answer is correct)

Explanation : In the process of distribution, the product will be handled by many persons. The persons handling the movement are called intermediaries in the distribution chain; the route taken by the product is a distribution channel ; the last person in the chain is the retailer where the goods remain till the customer buys.

Q (8): What are the practice(s) that are involved through which the resources are procured and processed in an organisation?

- 1.Ancillaries.
- 2.Vendors.
- 3.Personnel.
- 4.Finance
- 5.All the above. (Your answer is correct)

Explanation : The resources are procured and processed in an organisation through practices relating to finance, personnel, production, materials, ancillaries, vendors etc.

Q (9): Which pre-sale and post-sale service constitutes the product in the case of insurance?

- 1.Training.
- 2.Repairs.
- 3.Maintenance.
- 4.Replacements.
- 5.All the above. (Your answer is correct)

Explanation : Pre-sale and post-sale services like training, repairs, maintenance and replacements constitutes the product in the case of insurance. The support services would be significant factors that add to the attractiveness of the product.

Q (10): Before nationalisation, private insurers used to neglect the rural markets for a number of reasons most of which related to i. poor connectivity ii. relatively spread out populations iii. relatively poor incomes All of the above

- 1.i only (This is the correct answer)

Explanation : Apart from the fact that about 70% of the people live in rural areas the rural economy was vital for the country. Before nationalisation, private insurers used to neglect the rural markets for a number of reasons most of which related to - poor connectivity, relatively spread out populations and relatively poorer incomes.

- 2.iii and ii
- 3.i and ii
- 4.i and iii (Your answer is incorrect)

Q (11): What are the two major operations of logistics? I. Material management. II. Physical distribution. III. Supply chain management.

- 1.Only (i)&(ii) (This is the correct answer)

Explanation : Material management and physical distribution are the two major operations of logistics.

- 2.Only (iii)
- 3.Only (ii)
- 4.Only (i)&(iii)
- 5.Only (ii)&(iii) (Your answer is incorrect)

Q (12): Which statement can best define the shopping goods? Infrequently bought goods without any hastiness. Bought without planning and search of alternates. They are bought from any easily accessible outlet.

- 1.Both statement (a) and (b) are correct. (This is the correct answer)

Explanation : Shopping goods are those which are bought infrequently and the buying decisions are made without haste, after comparisons as to suitability, quality, price, etc.

- 2.Both statement (b) and (c) are correct. (Your answer is incorrect)

Q (13): Insurance product falls among which category of consumer goods?

- 1.Convenience goods.
- 2.Unsought goods. (This is the correct answer)

Explanation : Consumer goods are also classified as convenience, shopping, specialty and unsought goods, according to the purchasing habits of people. Unsought goods are rarely thought of by customers. They are sold. Insurance falls into this category.

- 3.Shopping goods.
- 4.Specialty goods.
- 5.Compulsory goods. (Your answer is incorrect)

Q (14): Which among the following is not important in regards with insurance product?

- 1.Claim ratio.
- 2.Commission of agents. (This is the correct answer)

Explanation : Insurance product depends on the promise made by the insurer. In insurance, the price has to be determined on the basis of accepted principles. The claims ratio depends on the market segment in which it transacts business and the standards of underwriting.

- 3.Premium amount.
- 4.Size of the segmentation.
- 5.Promise by insurer. (Your answer is incorrect)

Q (15): Why market research techniques have limitations in using in the case of services? I. It is difficult to sample. II. It is difficult to articulate precisely. III. It is difficult to go for surveys.

- 1.Only (iii)
- 2.Only (i)&(ii) (This is the correct answer)

Explanation : There are limitations in using market research techniques (surveys, observation, interviews, etc.), in the case of services, mainly because services are intangible, difficult to measure or sample and even difficult to articulate precisely.

- 3.Only (ii)
- 4.Only (ii)&(iii)
- 5.Only (i) (Your answer is incorrect)

Q (16): Robert Galvin, chairman of the executive committee of Motorola Inc., said that there were ____ levels of acceptable service.

- 1.2
- 2.3
- 3.4 (This is the correct answer)

Explanation : Four levels of acceptable service - Good, Very Good, Near perfect and WOW. John Humble, management consultant from the UK used the word DELIGHT in place of WOW.

- 4.5
- 5.6 (Your answer is incorrect)

Q (17): Which among the following is not an element of physical evidence in an organisation?

- 1.Infrastructure.
- 2.Workers dress.
- 3.Employee training. (This is the correct answer)

Explanation : Employee training cannot be measured. It is the services which include activities that change and improve the people. Therefore it is not an element of physical evidence.

- 4.Machinery.
- 5.Management team. (Your answer is incorrect)

Q (18): ____ is an electronic trading portal.

- 1.SPMRM
- 2.KCC
- 3.KYC
- 4.NAM (This is the correct answer)

Explanation : The national agricultural market NAM, is an electronic trading portal, which connected 21 wholesale agricultural markets in 8 states immediately and 585 mandis in India by March 2018. The farmer will be able to know the prevailing process in all these mandis and sell at the place of his choice.

- 5.DDUGKY (Your answer is incorrect)

Q (19): One of the objectives of marketing activities is to create _____ and improve affordability.

- 1.Needs
- 2.Desires
- 3.Urge

4.Wants (This is the correct answer)

Explanation : One of the activities of marketing is to create wants. Different marketing programs will try to influence the wants and demands in the direction of their respective offers, even providing more affordable circumstances like loans, hire purchases etc.

5.Demand (Your answer is incorrect)

Q (20): Which of the following should not be the basic assumptions of the service provider?

1.Quality is to be maintained, whatever it takes.

2.Quality should be provided both in the front line and at the back office.

3.Quality can always be improved upon.

4.Quality means “willing to walk that extra mile” for profit maximization. (This is the correct answer)

Explanation : The basic assumptions of a service provider have to be • Quality service brings in customers and generates profits • Quality is to be maintained, whatever it takes • Quality means “willing to walk that extra mile” for the customer’s sake • Quality can always be improved upon • Quality is provided by people • Quality is provided not only in the front line, but also in the back office.

5.Quality is provided by people. (Your answer is incorrect)

Q (21): In what way the insurance company is contributing in economy growth?

1.By helping businesses mitigate risk and protect their employees.

2.Insurance promotes trade and commerce activities.

3.It generates long term financial resources for the industrial projects.

4.Being big players, insurance companies often influence the sentiments of the capital market.

5.All the above statements are true. (Your answer is correct)

Explanation : Insurance Company is contributing in economic growth by helping business mitigate risk and protect their employees; it promotes trade and commerce activities. Being big players, it often influences the sentiments of the capital market. Generally substantial portion of investment in shares and debentures would be contributed by insurance companies.

Q (22): What can be the important element in the marketing mix?

1.Place

2.Promotion

3.Product

4.Price

5.All the above (Your answer is correct)

Explanation : These 4Ps (product, place, price and promotion) could deliver the maximum satisfaction and they are called the elements of the marketing mix.

Q (23): Who among the following can provide negative strokes to the customers?

1.A cashier throwing the money across the counter.

2.The accounts clerk who bluntly refuses to understand your urgency.

3.The storekeeper cutting down your indent for supplies.

4.The salesman frowning while pulling out clothes.

5.All the above statements. (Your answer is correct)

Explanation : A cashier throwing the money across the counter, the salesman frowning while putting out clothes from the shelf, the storekeeper cutting down your indent for supplies, the accounts clerk who bluntly refuses to understand your urgency for the payment, all provide negative strokes.

Q (24): By and large, the barriers to entry in services are ____

1.Low (This is the correct answer)

Explanation : By and large, the barriers to entry in services are low. The chances of new competition are high.

2.Very low

3.High

4.very high

5.Moderate (Your answer is incorrect)

Q (25): What can be considered as a “central” to the decision making process of every organization?

1.Marketing. (This is the correct answer)

Explanation : The purpose of business is said to be the creation and retention of customers. Therefore, all decision pertaining to production and application of resources must be examined in the light of maximizing customer satisfaction. Thus, marketing becomes central to the decision making processes of every organization.

2.Planning.

3.Employees.

4.Management.

5.Finance. (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 08

Q (1): Which statement justifies the term MGNREGA?

1.Mahatma Gandhi National Rural Employment Guarantee Scheme. (This is the correct answer)

Explanation : MGNREGA stands for Mahatma Gandhi National Rural Employment Guarantee Scheme.

2.Mahatma Gandhi National Rural Employment Government Scheme.

3.Mahatma Gandhi Northern Rural Employment Government Scheme.

4.Mahatma Gandhi Northern Rural Emergency Government scheme.

5.None of the above. (Your answer is incorrect)

Q (2): Intangible products offered for sale to customers by service providers to meet specific needs and wants are ____.

1.Customer services.

2.Service offerings. (This is the correct answer)

Explanation : Service offerings are intangible products offered for sale to customers by service providers to meet specific needs and wants. These can be sold to business customers (e.g., consultancy, transportation, warehousing, maintenance services, construction of a factory, etc.), or to end customers (e.g., hotel, restaurant, healthcare services, education, etc.).

3.BPOs.

4.Both (a)&(b)

5.None of the above. (Your answer is incorrect)

Q (3): Which approach emphasis on being large capacities and large turnover and low unit costs?

1.Sales orientation.

2.Production orientation. (This is the correct answer)

Explanation : The production orientation focuses on maximizing production, the emphasis being on large capacities and large turnover and therefore low unit costs.

3.Cost orientation.

4.Product orientation.

5.Market orientation. (Your answer is incorrect)

Q (4): With reference to "product differentiation" products are divided into ____ main categories.

1.2

2.3 (This is the correct answer)

Explanation : Products are divided into three main categories -i consumer goods : durable and non durable,ii - industrial goods and iii. services. consumer durables are long-lasting and relatively costly items. non-durables are items which are bought more frequently and are relatively lower priced. Industrial Products are specific to industry.

3.4

4.5

5.6 (Your answer is incorrect)

Q (5): Sales promotion" attempts to overcome the hesitations about buying, and to induce the prospect to buy. It is a

Slight push that is made through the offer of : i. Gifts ii. Contests and prizes iii. Price hike iv. Bonus offers

1.i iii and iv

2.i ii and iv

3.ii iii and iv (This is the correct answer)

Explanation : Sales promotion attempts to overcome the hesitation about buying and to induce the prospect to buy. It is a slight push that is made through the offer of - Bonus offers, additional services, price discounts, coupons, rebates, installment payment facilities, contests, prizes, gifts, samples and demonstrations.

4.Only i and iv

5.All of the above (Your answer is incorrect)

Q (6): Which among the following statement is incorrect?

1.Strategic plans are drawn through SWOT analysis.

2.Strategies in organization are similar to strategies anywhere else.

3.The strategies can be managed through preconceive way. (This is the correct answer)

Explanation : To manage these strategies, is not to preconceive strategies, but to recognize their emergence and intervene when appropriate. Top management should evolve strategic plans after due consideration of the environment (SWOT analysis) and the resources available.

4.Strategic plans provide direction to an organization.

5.Strategies become organizational when the patterns proliferate. (Your answer is incorrect)

Q (7): _____ raises more doubts than most of the other services.

1.Marketing

2.Production

3.Purchasing

4.Insurance (This is the correct answer)

Explanation : There is more anxiety while purchasing services than while purchasing goods because the nature of the Purchase is not clearly known till after the Purchase. even after personal interaction with the salesman who calls on the customer doubts May persist about the nature and quality of service and integrity of the producer. insurance raises more doubts than most of the Other services.

5.Banks. (Your answer is incorrect)

Q (8): Organization have the capability to - i. Break down caste or parochial barriers ii. Develop appropriate hygiene and health care practices iii develop mutually cooperative attitudes iv. Make people assert themselves against injustice, exploitation, abuse of power, etc.

1.i ii and iv

2.i iii and iv

3.ii and iii

4.All i ii and iii (This is the correct answer)

Explanation : Organizations have the capability to break down caste and parochial barriers through the secular fellowship that may exist within it, develop appropriate hygiene and health care practices through provisions of medical facilities and also through training, even for families, develop mutually cooperative attitudes (good neighbourliness) by building up work teams, make people assert themselves against injustice, exploitation, abuse of power etc and to show concern for others, through practices that recognize fellow workers as also customers.

5.Only iv (Your answer is incorrect)

Q (9): Which of the following statements are not true?

1.There is a strong influence of caste, hierarchy and tradition in the rural areas.

2.Rural people are generally fatalistic.

3.Rural people may be illiterate, but they are wise.

4.Promotion in rural areas is easier in comparison to urban areas. (This is the correct answer)

Explanation : There is a strong influence of caste, hierarchy and tradition in the rural areas. •Rural customers are in tune with nature, not clock or calendar. •Rural people are generally fatalistic. •Rural people may be illiterate, but they are wise. Promotion in rural areas is more complex than in urban areas.

5.Rural customers are in tune with nature, not clock or calendar. (Your answer is incorrect)

Q (10): Insurers abroad have resorted to direct marketing, the media used for the process are-

1. Over the counter in big stores.
2. Kiosks with touch technology.
3. Displays in conferences.
4. Direct contact with the insurer's salaried staff.
5. All the above. (Your answer is correct)

Explanation : Insurers abroad have resorted to Direct Marketing wherein the provider of the service gets in touch with the customer without the aid of an intermediary. The media used for the process are- telephone contact, over the counter in big stores, direct contact with the insurer's salaried staff, telephone contact, direct mail etc.

Q (11): What cannot be the instruments used for market research?

1. Telephone survey.
2. Structured Questionnaire.
3. Personal interview.
4. Mail survey.
5. Camera recording. (Your answer is correct)

Explanation : The market research involves systematic collection of data, to be analysed, evaluated and used for marketing decisions. The instruments can be used for this purpose can be survey done through mail and telephone, structured questionnaire to be answered by the customers and personal interview.

Q (12): Why the business of non-life insurance is truly international?

1. Reinsurance makes the business of insurance international.
2. Insurance companies have associates in most of the countries.
3. Insurance company reinsures the risk with other companies around the world.
4. Insurance company helps in international trade.
5. All the above statements are true. (Your answer is correct)

Explanation : The business of insurance, particularly non-life business, is truly international. Insurance is closely linked to trade and industry. Risks are becoming very big. The insurance company which accepts the insurance reinsures the risk with other companies around the world. Thus, reinsurance makes the business of insurance international.

Q (13): For the insurance industry, Ombudsmen can be appointed to receive the complaints from the policyholder up to the value of-

1. Rs. 20 lakhs or less. (This is the correct answer)

Explanation : For the insurance industry, the Government had framed Rules under the Insurance Act, 1938, whereby Ombudsmen can be appointed to receive complaints from policyholders relating to the settlement of claims, of the value of Rs. 20 lakhs or less.

2. Rs. 10 lakhs or more.
3. Rs. 20 lakhs or more.
4. Rs. 10 lakhs or less.
5. Rs. 50 lakhs or less. (Your answer is incorrect)

Q (14): What EP 100 programme aims at?

1. Double energy productivity. (This is the correct answer)

Explanation : EP 100 programme aims to double energy productivity (increase economic output for each unit of energy consumed) by the year 2030, which will result in savings of US\$ 327 billion per year in energy costs, add 1.3 million jobs and reduce CO2 emissions by one-third.

2. Increase employment opportunity.
3. Economic development.
4. Making energy saving equipments.
5. Minimising energy cost. (Your answer is incorrect)

Q (15): Which unique service characteristic reflects the interconnection between the service sector and its customer

?

1. Inseparability. (This is the correct answer)

Explanation : The unique service characteristic that reflects the interconnection between the service sector and its customer is called inseparability.

2. Intangibility.

3. Perishability.

4. Homogeneity.

5. Availability. (Your answer is incorrect)

Q (16): Lack of ethics in business gives rise to-

1. Loss in business.

2. Customer loss and penalties. (This is the correct answer)

Explanation : It is hypothesised that Ethics begets ethics from employees (loyalty) and suppliers (commitment). Lack of ethics begets penalties and loss of customers.

3. Ethics from employees.

4. Legally penalised.

5. None of the above. (Your answer is incorrect)

Q (17): Which cannot be the methods to be used by an insurance company to educate its customers?

1. By keeping leaflets and brochures to take away.

2. Giving regular classes about the product. (This is the correct answer)

Explanation : The methods that can be used by an insurance company to educate its customers by keeping leaflets and brochures to take away, creating an office counter for answering queries of the customer patiently and correctly, presenting small items with telephone number of the insurer or the agent's office and communication details with every policy issued.

3. Creating an office counter for answering queries.

4. Gifting small items with insurer numbers to customers.

5. Communication details with every policy issued to insured. (Your answer is incorrect)

Q (18): _____ is a drag on the company and needs to be killed as early as possible.

1. Cash cow

2. The star

3. The dog (This is the correct answer)

Explanation : The "dog" is a drag on the company and needs to be killed as early as possible. The matrix helps to identify the products in terms of the differential attention needed.

4. The cat

5. Problem child (Your answer is incorrect)

Q (19): Services are distinguished from goods mainly on five factors, below are few, pick the odd one out.

1. Intangibility

2. Inseparability

3. Homogeneity (This is the correct answer)

Explanation : Services are distinguished from goods mainly on five factors - intangibility, inseparability, heterogeneity, perishability and ownership.

4. Perishability

5. Ownership (Your answer is incorrect)

Q (20): Which criteria are followed by census in identifying villages?

1. The density of population should not be more than 400 per square kilometres.

2. 75% of the male working population should be engaged in agriculture.

3. Place where population does not exceed 5000. (This is the correct answer)

Explanation : The rural area is defined by the IRDA as a place in which the population does not exceed 5000, as per the last census, the density of population is not more than 400 per square kilometres and at least 75% of the male working population is engaged in agriculture. This is the criteria followed by the census in identifying village.

- 4.Both (a) & (b)
- 5.All (a),(b)&(c) (Your answer is incorrect)

Q (21): _____ goods are goods purchased frequently, immediately and without planning or search for alternatives

- 1.Shopping
- 2.Specialty
- 3.Unsought
- 4.Convenience (This is the correct answer)

Explanation : Consumer goods are classified as convenience, shopping, specialty and unsought goods, according to the purchasing habits of people. Convenience goods are purchased frequently, immediately and without planning or searching for alternatives. They are bought from an easily accessible outlet.

- 5.Any of the above. (Your answer is incorrect)

Q (22): Out of 28 insurance companies transacting non-life insurance business in India, 4 public sector companies were taken over by I. The government II. GIC III. LIC

- 1.Only (ii)
- 2.Only (i)
- 3.Only (iii)
- 4.Only (i)&(ii) (This is the correct answer)

Explanation : As on 31st March 2015, there were 28 insurance companies transacting non-life insurance business in India. The 4 public sector companies were taken over by the government directly and the GIC, which used to be the holding company of the four, began functioning as a national reinsurer.

- 5.Only (ii)&(iii) (Your answer is incorrect)

Q (23): Which service quality cannot make one bank different from another?

- 1.Hassle free processing.
- 2.Attitude of the people.
- 3.Responsiveness towards customers.
- 4.Intramural of the bank. (This is the correct answer)

Explanation : One bank becomes different from another because of the speed and lack of hassles in processing. What provide competitive distinctiveness are the behaviour and the attitudes of the people, the considerations shown by them, their responsiveness, etc.

- 5.Consideration shown by the people. (Your answer is incorrect)

Q (24): Intermediaries are important in insurance because_____.

- 1.People are not aware about policy suitable for them.
- 2.They help in the distribution of the insurance business.
- 3.People need to be convinced to buy insurance.
- 4.People need to understand the insurance properly.
- 5.All the above statements are true. (Your answer is correct)

Explanation : Intermediaries are important in insurance business because people are much aware about the product of insurance and it's difficult for them to decide which policy will be suitable for them. Intermediaries also help in the distribution of the insurance business.

Q (25): What factors influence the buying behaviour of the consumer? I. Cultural factors. II. Social factors. III. Personal factors.

- 1.Only (iii)
- 2.Only (ii)&(iii)
- 3.Only (i)
- 4.Only (i)&(iii)
- 5.All (i),(ii)&(iii) (Your answer is correct)

Explanation : Cultural, social and personal factors influence the buying behaviour of the consumers.

Q (1): Why the effective salesman meets the customer after the sales are made?

- 1.To intensify sales campaign in specific segment.
- 2.To strengthen the perceptions about the purchase.
- 3.To obtain further contacts.
- 4.To provide reassurance about the purchase made.
- 5.All the above statements are true. (Your answer is correct)

Explanation : Effective salesman meets the customer after the sales are made. They do so to get feedback, to obtain further contacts as referrals, to provide reassurance about the purchase made, to strengthen the perceptions about the purchase made, etc.

Q (2): Good business decisions in terms of profit earning is _____.

- 1.Short term process. (This is the correct answer)

Explanation : Good business decisions in terms of profit earnings may often be short term, but ethical standards compel long term focus, which could mean sometimes painful choices.

- 2.Ethical process.
- 3.Non- social activity.
- 4.Only motive.
- 5.Long term process. (Your answer is incorrect)

Q (3): What helps to crunch data on customer preferences and increase sales?

- 1.Algorithms. (This is the correct answer)

Explanation : Algorithms helps to crunch data on customer preferences and increase sales. Algorithms can greet visitors with recommendations for shopping based on the preferences shown by them in earlier purchases.

- 2.Direct selling.
- 3.Manual records.
- 4.Advertising.
- 5.Offer and discounts. (Your answer is incorrect)

Q (4): White revolution in India is related to –

- 1.Largest producer of milk in the world. (This is the correct answer)

Explanation : The revolution associated with a sharp increase in milk production in the country is called the White Revolution in India.

- 2.Peaceful country in the world.
- 3.Largest producer of fish in the world.
- 4.Largest producer of white cement in the world.
- 5.Largest producer of cotton in the world. (Your answer is incorrect)

Q (5): Name an electronic trading portal, which will connect 21 wholesale agricultural markets (mandis) in 8 states immediately and 585 mandis in India by March 2018?

- 1.Nehru Agriculture Market.
- 2.National Agriculture Market. (This is the correct answer)

Explanation : The National Agricultural Market (NAM), is an electronic trading portal, which will connect 21 wholesale agricultural markets (mandis) in 8 states immediately and 585 mandis in India by March 2018. The farmer will be able to know the prevailing process in all these mandis and sell at the place of his choice.

- 3.Indian agriculture Market.
- 4.Pradhan Mantri Agriculture scheme.
- 5.Pradhan Mantri Agriculture Market. (Your answer is incorrect)

Q (6): Which characteristic of service also implies that in contrast to physical products, services cannot be returned if the customer is unhappy?

1.Intangibility.

2.Perishability. (This is the correct answer)

Explanation : Perishability also implies that in contrast to physical products, services cannot be returned if the customer is unhappy, For example, a bad haircut cannot be returned or exchanged for a better one.

3.Variability.

4.Ownership.

5.Simultaneous Production and Consumption. (Your answer is incorrect)

Q (7): A system consists of several parts interacting with each other and functioning as one united whole. Regarding systems, choose the statement which holds true.

1.Sub systems need not be concerned about the other subsystem in an organization.

2.All the subsystems have identical goals.

3.Every subsystem influences the bigger system (This is the correct answer)

Explanation : From the alternatives given above only one is correct that is C.

4.Every subsystem is independent of the bigger system

5.Every subsystem is dependent of the bigger system (Your answer is incorrect)

Q (8): Services are performed by people. But service businesses are not ____ tech.

1.High

2.Related to

3.Low (This is the correct answer)

Explanation : Services are performed by people but service businesses are not low tech. One of the fast growing areas of the service segment relates to computers. Computers are high tech

4.Equipped with

5.Linked to (Your answer is incorrect)

Q (9): Which element in delivery of services is significant?

1.Processes.

2.Quality.

3.People. (This is the correct answer)

Explanation : The people element in delivery of service is significant. Without personnel it's difficult to provide quality in services.

4.Promotion.

5.Technology. (Your answer is incorrect)

Q (10): A series of moments of truth make a cycle of service, several cycles of service together make up the _____ of service

1.Process

2.Concept

3.Sacking

4.Transaction (This is the correct answer)

Explanation : Several cycles of service together make up the transaction of service. In the case of the plumber, response to the call for repair and billing would be other cycles in the same transaction. In the case of a policyholder, visiting the office, the cycles would include finding the location of the department or person, after the person is contacted his understanding of the need of the customer, the manner in which the requirements are met which includes the time taken, the conveniences for waiting, the procedures etc.

5.Exchange (Your answer is incorrect)

Q (11): Public Relation is normally organized as which department in an organisation?

1.Selling department.

2.Service department.

3.Sales department.

4.Marketing department. (This is the correct answer)

Explanation : PR is normally organized as a part of the Marketing department. This is so because both functions have

ve their orientations based on the external environment. Both are concerned with building up positive relations with the outside world.

5.Production department. (Your answer is incorrect)

Q (12): Which step of developing a service product helps in determining which of the benefits could be offered to the customers?

1.Benefit concept.

2.Delivery system.

3.Service offers.

4.Service concept. (This is the correct answer)

Explanation : Steps of developing a service product helps in determining which of these benefits could be offered to the customer is known as Service concept.

5.Development system. (Your answer is incorrect)

Q (13): Kisan credit card enables farmers to get loans over periods of ____ years.

1.1 to 2

2.2 to 3

3.1 to 3

4.3 to 4

5.3 to 5 (Your answer is correct)

Explanation : Kisan credit card enables farmers to get loans over periods of 3 to 5 years. Kisan Credit Cards are issued by cooperative banks, rural regional banks and commercial banks.

Q (14): What is the new concept(s) that are used to understand and explain buyer behaviour?

1.Culture.

2.Opinion leadership.

3.Reference groups.

4.Role orientation.

5.All the above. (Your answer is correct)

Explanation : Several new concepts like social stratification, reference groups, role orientation, culture, opinion leadership etc. are used to understand and explain the buyer behaviour.

Q (15): With respect to consumer behaviour, one's friends and relatives could be considered as ____.

1.Institutional groups.

2.Interactive groups.

3.Impersonal groups.

4.Supportive group.

5.Reference group. (Your answer is correct)

Explanation : One's friends and relatives could be considered a reference group. Consumer learn for instance by observing and copying their friends and parents and significant others generally.

Q (16): How much percentage should be reserved for CSR according to law?

1.2% of Net Profit. (This is the correct answer)

Explanation : The laws prescribe that companies must set aside at least 2% of net profits towards activities of social responsibility (CSR). Many companies however, understand the role they have to play as responsible citizens and commit substantial resources to such issues.

2.5% of Total Profit.

3.2% of Gross Profit.

4.5% of Net Profit.

5.3% of Total Profit. (Your answer is incorrect)

Q (17): What is the key element in the delivery of services?

1.Mobile telephone. (This is the correct answer)

2.Google map.

3. Two-wheeler.
4. Sales person.
5. Cash on delivery facility. (Your answer is incorrect)

Q (18): _____ is a resultant of key business issues and cause customer satisfaction, perceived values, as well as repeat business and profitability.

1. Latest technology.
2. Delivery of services. (This is the correct answer)

Explanation : Delivery of service is a resultant of key business issues and cause customer satisfaction, perceived values, as well as repeat business and profitability.

3. Resulting strategies.
4. Competitive atmosphere in organisation.
5. Profit maximization. (Your answer is incorrect)

Q (19): Name the term used for the agricultural crop which is cultivated to be sold in market to earn profit from the sale?

1. Best crop.
2. Cash crop. (This is the correct answer)

Explanation : Cash crop or profit crop is an agricultural crop which is grown to sell for profit. A readily salable crop (cotton or tobacco) produced or gathered primarily for market.

3. Valuable crop.
4. Precious crop.
5. Grade crop. (Your answer is incorrect)

Q (20): Which component helps in determining the value for money through core services and product features? Delivery of the product. Performance of the product Sense of caring.

1. Only (ii)
2. Only (ii)&(iii) (This is the correct answer)

Explanation : Core services and product features, which determine value for money, have two components

3. Only (iii)
4. Only (i)&(ii)
5. All (i),(ii)(iii) (Your answer is incorrect)

Q (21): As per the IRDA regulations, advertisements made for promotion of the products should not be unfair or misleading, which means-

1. It should not describe benefits that do not match policy provisions.
2. It should not omit to disclose important exclusions, limitations and conditions of the contract.
3. It should illustrate future benefits which are neither realistic nor realizable nor guaranteed. (This is the correct answer)

Explanation : Advertisements should not be unfair or misleading, which means, they should not (i) make claims that are beyond the policy to deliver (ii) describe benefits that do not match policy provisions (iii) hide or minimize the costs and risks inherent in the policy (iv) omit to disclose important exclusions, limitations and conditions of the contract (v) illustrate future benefits which are neither realistic nor realizable nor guaranteed (vi) make unfair or incomplete comparisons with competitors, etc.

4. It should not imply a group or relationship that does not exist.
5. It should not minimize the costs and risks inherent in the policy. (Your answer is incorrect)

Q (22): SHGs are allowed to be agent for-

1. Macro insurance.
2. Main insurance.
3. Micro insurance. (This is the correct answer)

Explanation : Self Help Groups (SHGs) are allowed to be agents for micro insurance.

4. Both (a) & (c)
5. None of the above. (Your answer is incorrect)

Q (23): Which factor is rarely evaluated by the customer for purchasing a television set?

- 1.The performance in the showroom.
- 2.The external appearance.
- 3.The technical data. (This is the correct answer)

Explanation : A TV set is rarely bought on the strength of technical data. To many, the external appearance, the performance in the showroom, the promise of after sales services and the brand name matters for making a final purchase of the product.

- 4.The promise of after sales services.
- 5.The brand name. (Your answer is incorrect)

Q (24): As per the Insurance Act 1938, which of the following cases can be considered by the Ombudsmen?

- 1.Cases in which there is a dispute on the premium payable.
- 2.Problem in the construction of the policy.
- 3.Partially or totally repudiated a claim by the insurer.
- 4.All the above cases are considered. (This is the correct answer)

Explanation : The Ombudsmen can look into cases where the insurer had partially or totally repudiated a claim or where there is a dispute on the premium payable or the construction of the policy. Even delays may be looked into.

- 5.None of the above. (Your answer is incorrect)

Q (25): Social issues are the concern of____.

- 1.Government.
- 2.Elected persons.
- 3.Local society.
- 4.All responsible citizens. (This is the correct answer)

Explanation : Social issues are not the concern of only a few elected persons, but are of all responsible citizens.

- 5.A business owner. (Your answer is incorrect)

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Q (1): Which type of goods can directly satisfy the human wants?

- 1.Producer's goods.
- 2.Competitor's goods.
- 3.Quality goods.
- 4.Consumer's goods. (This is the correct answer)

Explanation : Human wants can be referred to as the desires that human beings strive to satisfy by using goods and services. The satisfaction of these wants refers to the process of acquiring and using the required goods and services.

- 5.Advertised goods. (Your answer is incorrect)

Q (2): market ____ is the process of disaggregating the total market into a number of sub markets.

- 1.Fragmentation
- 2.Defragmentation
- 3.Disaggregation
- 4.Aggregation
- 5.Segmentation (Your answer is correct)

Explanation : Market segmentation is the process of disaggregating the total market into a number of sub markets in such a way that each of these sub markets share one or more common characteristics.

Q (3): What is the primary product in insurance?

- 1.Policy.
- 2.Claim amount.
- 3.Declaration form.

4.Brand name.

5.Agent. (Your answer is correct)

Explanation : Agent is the primary product in insurance. The agent is bought first, before the insurance is bought. The agent is not only part of the product in insurance, but is the primary product.

Q (4): Which among the following is not a psychological factor that influences the consumer behaviour?

1.Buying motives.

2.Attitudes towards the product.

3.Reference groups. (This is the correct answer)

Explanation : Psychological factors that influence the consumer behaviour are buying motives, perception of the product and attitudes towards the product. Reference group is a social factor.

4.Perception of the product.

5.None of the above. (Your answer is incorrect)

Q (5): If there has been a fire in a godown and it is shown that the fire was a case of arson, what the insurance company will do?

1.It will not be a case of uncertainty therefore company will not pay the loss. (This is the correct answer)

Explanation : If there has been a fire in a godown and the goods stored therein are destroyed, if it is shown that the fire was deliberately started- a case of arson- it will not be a case of uncertainty and therefore the insurance company will not pay for the loss.

2.It will be a case of uncertainty and insurer will pay the loss.

3.There will be no loss and there will be nothing for insurance company to pay.

4.The occurrence of the event is due to the reason insured, company will pay.

5.None of the above. (Your answer is incorrect)

Q (6): What tries to influence attitudes and receptivity, to eliminate misconception and thus contribute to more sales?

1.Promotion activities. (This is the correct answer)

Explanation : Promotion tries to influence attitudes and receptivity, to eliminate misconceptions and thus contribute to more sales. The purpose of 'Promotion' is to communicate with the market.

2.Product features.

3.Customers reviews.

4.Selling concept.

5.Retailer's advice. (Your answer is incorrect)

Q (7): "Literature prepared by the insurers with information relating to plans and benefits may not be given to the customers as intended", which type of service gap is reflected here?

1.Gap between Actual product benefit and the Communication of the service benefits to customers.

2.Gap between Designed product benefit and the actual product benefits as delivered. (This is the correct answer)

Explanation : Gap reflected here is between the designed product benefits (DPB) and the actual product benefits as delivered (APB). This can happen because those responsible for implementation do not understand fully the rationale for the prescribed processes or find it convenient to make changes.

3.Gap between management's perception of customer's expectation and the designed product benefits.

4.Gap between the management's perception of customer's expectation and the customer's expectations.

5.Gap between the customer expectations and the communication of the service benefits. (Your answer is incorrect)

Q (8): Premiums are proportionate to the maximum loss the insured person expects. What maximum loss here means?

1.Maximum claim.

2.Sum insured. (This is the correct answer)

Explanation : Premiums are proportionate to the maximum loss the insured person expects. This maximum loss is called the sum insured.

3.Total loss.

- 4.Loss due to perils.
- 5.Expected claim amount. (Your answer is incorrect)

Q (9): Which concept of service quality measures service quality as perceived by customers?

- 1.Service mix.
- 2.Gap analysis. (This is the correct answer)
Explanation : Gap analysis is part of Servqual, a very popular methodology for evaluating and managing service quality. It is the difference between what the customers expect and what they perceived was delivered.
- 3.Service quality
- 4.Performance satisfaction.
- 5.Customer satisfaction index. (Your answer is incorrect)

Q (10): As per the Maslow's need hierarchy, person attempting to satisfy his need of hunger comes under which level of theory?

- 1.Self-esteem needs.
- 2.Social needs.
- 3.Physiological needs. (This is the correct answer)
Explanation : Under Maslow's need hierarchy this is an example of physiological needs. It contains the basic need of food, shelter and clothes of any person.
- 4.Safety needs.
- 5.Self-actualization needs. (Your answer is incorrect)

Q (11): Speciality consumer goods can be defined as- I. High priced goods which are bought only from specific outlets. II. Efforts to purchase are not made specially. III. They are bought out of instant decisions.

- 1.Only (iii)
- 2.Only (ii)
- 3.Only (i) (This is the correct answer)
Explanation : Specialty goods are high priced goods which are bought only from specific outlets. They are not bought out of instant decisions. The effort to purchase is specially made.
- 4.Only (i)&(ii)
- 5.Only (ii)&(iii) (Your answer is incorrect)

Q (12): Which insurance pool was formed in April 2002, which is managed by the GIC?

- 1.Declined Risk Insurance Pool.
- 2.Foreign Trade Risk Insurance Pool.
- 3.Indian Market Terrorism Risk Insurance Pool. (This is the correct answer)
Explanation : The Indian Market Terrorism Risk Insurance Pool was formed in April 2002. The pool which is managed by GIC has a fund of Rs.4500 crores.
- 4.Liability Insurance Pool.
- 5.None of the above. (Your answer is incorrect)

Q (13): Business after business is learning that "delighting the customer" means i. Fewer customers lost ii. Less time and more money spent on advertising and marketing. iii. Free (word of mouth) publicity from your best customers iv. Less use of costly discounts and offers to attract new customers.

- 1.i ii and iii
- 2.ii iii and iv
- 3.i iii and iv
- 4.i ii and iv (This is the correct answer)
Explanation : Delighting the customer means - fewer customers lost, less time and less money spent on advertising and marketing to find new customers, less use of the costly discount and offer to attract new customers, more time to devote to anticipating and meeting needs of your best customer, less time and money spent putting things right for dissatisfied customers, free (word of mouth) publicity from your best customers.
- 5.All of the above (Your answer is incorrect)

Q (14): The costs of achieving, sustaining and improving quality cannot be classified into which group?

- 1.Prevention.
- 2.Internal failure.
- 3.Appraisal.
- 4.Perception. (This is the correct answer)

Explanation : The costs of achieving, sustaining and improving quality are classified into 4 main groups- Prevention, appraisal or inspection, internal failure and external failure.

- 5.External failure. (Your answer is incorrect)

Q (15): Which type of marketing can help services to succeed?

- 1.Internal marketing.
- 2.External marketing.
- 3.Interactive marketing.
- 4.All the above. (This is the correct answer)

Explanation : The three types of marketing must be successfully carried out for a service to succeed external marketing, interactive marketing and internal marketing.

- 5.None of the above. (Your answer is incorrect)

Q (16): Marketing deals with-

- 1.Finding out what the customers want.
- 2.Creating the products at reasonable price.
- 3.Informing about the product's availability.
- 4.Distributing the products to the customers.
- 5.All the above statements. (Your answer is correct)

Explanation : Marketing deals with finding out what the customers want, creating that which they want at prices which they find reasonable, informing them of the availability of the same and distributing them in ways that are convenient to them.

Q (17): When failure occurs, it is advisable to - i. Apologise for the failure ii. Explain the reason for the failure to the customer. iii deny the failure.

- 1.Only i
- 2.Only iii
- 3.Only ii
- 4.i and iii
- 5.i and ii (Your answer is correct)

Explanation : When failure occurs, it is advisable to apologize for the failure and explain the reason for the failure to the customer instead of denying the failure.

Q (18): For the insurance industry, Ombudsmen can be appointed to receive the complaints from the policyholder up to the value of-

- 1.Rs. 20 lakhs or less. (This is the correct answer)

Explanation : For the insurance industry, the Government had framed Rules under the Insurance Act, 1938, whereby Ombudsmen can be appointed to receive complaints from policyholders relating to the settlement of claims, of the value of Rs. 20 lakhs or less.

- 2.Rs.10 lakhs or more.
- 3.Rs. 20 lakhs or more.
- 4.Rs. 10 lakhs or less.
- 5.Rs. 50 lakhs or less. (Your answer is incorrect)

Q (19): In India, till 2000, what was the barrier related to insurance company?

- 1.Legal barrier to start an insurance company. (This is the correct answer)

Explanation : In insurance, in India, till 2000, there was a legal barrier to start an insurance company, but there was no barrier to become an insurance consultant, advising on what to buy and helping to recover claims.

- 2.To become an insurance consultant.

- 3.To help the client to recover claims.
- 4.Knowledge about the insurance product.
- 5.Advising on what insurance to buy. (Your answer is incorrect)

Q (20): What was the maximum sum assured for micro insurance fixed by the IRDA in 2005?

- 1.Rs. 50000. (This is the correct answer)

Explanation : The Regulations issued by the IRDA in 2005 had fixed the maximum sum assured for micro insurance at Rs.50000.

- 2.Rs. 100,000.
- 3.Rs. 20,000.
- 4.Rs. 80,000.
- 5.Rs. 150,000. (Your answer is incorrect)

Q (21): A customer buys because he wants to satisfy a need. Therefore before buying, i. He will gather data on the alternatives available ii. He need not be aware of the need to be satisfied. iii he will evaluate the alternatives. iv. He will search for alternatives that will satisfy the need.

- 1.i iii and iv

- 2.i ii and iv (This is the correct answer)

Explanation : Before buying, a customer will become aware of a need to be satisfied. he will search for alternative that will satisfy the want. he will gather data on the alternative available and compare the data. he will evaluate the alternative on the basis of such comparisons.

- 3.i and ii
- 4.ii and iii
- 5.All of the above (Your answer is incorrect)

Q (22): Prior to 2000, who was regulating the insurance industry?

- 1.IRDA
- 2.Controller of insurance. (This is the correct answer)

Explanation : Prior to 2000, the insurance industry was subject to regulation by the Controller of insurance, an official appointed by the Government of India, under the provision of the Insurance Act 1938.

- 3.GIC
- 4.Government of India.
- 5.Lloyds' syndicates. (Your answer is incorrect)

Q (23): Which factor really distinguishes one from another in the same business?

- 1.Technologies.
- 2.Quality in services. (This is the correct answer)

Explanation : The tangibles do not distinguish between one product and another in the same business. They are similar. Every innovation can be duplicated. Technologies are not exclusive. That which really distinguishes one from another in the same business is the quality of the service, the manner in which it is delivered.

- 3.Innovation.
- 4.Tangible products.
- 5.All the above. (Your answer is incorrect)

Q (24): Automated systems are often ____ satisfying than personal attention.

- 1.More
- 2.Equally
- 3.Less (This is the correct answer)

Explanation : Internal efficiencies, in terms of better resource utilization and/or productivity, may improve the quality of the process or of the system, but not necessarily the perception of quality of the service. Automated systems are often less satisfying than personal attention.

- 4.Highly
- 5.More or less (Your answer is incorrect)

Q (25): State the statement which is not true?

- 1.A service is not produced. It is performed.
- 2.People endow products with attributes, beyond its functional characteristics.
- 3.Utility is the only element of product personality. (This is the correct answer)

Explanation : The packaging, the labelling, the price, the image created through promotional efforts, all add up to make the product create a specific image in the mind of the consumer. Utility is only one element of the complex product personality.

- 4.The core or the basic constituent of the product is the first component in its total personality.
- 5.Process is a part of insurance product. (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 11

Q (1): Which is not a feature of Life Insurance?

- 1.It is a form of investment offering savings.
- 2.It is a long term contract which covers life risk of the person.
- 3.Insurable amount is paid only on the occurrence of the event. (This is the correct answer)

Explanation : In a Life Insurance policy, insurable amount is paid either on the occurrence of the event or on maturity.

- 4.Endowment Insurance is also an example of Life Insurance.
- 5.None of the above statement. (Your answer is incorrect)

Q (2): Consumerism, as a movement started in ____ in the 1950s.

- 1.Russia
- 2.Canada
- 3.UK
- 4.USA (This is the correct answer)

Explanation : Consumerism as a movement started in the USA in the 1950s. It began with Ralph Nader protesting against death and injuries in car accidents, caused mainly because manufacturers neglected safety features.

- 5.Netherlands (Your answer is incorrect)

Q (3): The damage that the peril may cause to an asset is called

- 1.Social threats
- 2.Destruction
- 3.Loss
- 4.Risk (This is the correct answer)

Explanation : Assets are insured because they are likely to be destroyed or made non-functional to an accidental occurrence. Such possible occurrences are called perils. The damage that the perils cause is called a risk.

- 5.Menace (Your answer is incorrect)

Q (4): Who can be the rural agents for selling insurance?

- 1.Teachers.
- 2.Dealers of motorcycles.
- 3.Cooperative societies.
- 4.All the above. (This is the correct answer)

Explanation : Dealers in pump sets, bicycles, motorcycles, tractors, etc., cooperative societies providing seeds and manure and helping in marketing are centres from which lot of insurance can be influenced. Teachers, who meet heads of households in the normal course, save on the effort of selling insurance, if they are agents.

- 5.None of the above. (Your answer is incorrect)

Q (5): Marketing strategies used to attain objectives should have to be-

- 1.Within acceptable limits.
- 2.Fully exploiting environmental opportunities.
- 3.Clear and identifiable.

4.Consistent with corporate skills and resources.

5.All the above. (Your answer is correct)

Explanation : Marketing strategies used to attain objectives of an organisation should have to be within acceptable limits, fully exploiting environmental opportunities, clear and identifiable and consistent with corporate skills and resources.

Q (6): When services are bought from a new company, prospect expectations are generally based on.

1.Experience of the previous time.

2.Information read in an advertisement.

3.Explanation given by salesman.

4.External appurtenances.

5.All the above factors. (Your answer is correct)

Explanation : Customer expectations are based on- one experienced the previous time, what one needs now, what one has heard from others, what one has read in an advertisement and what the salesman had been saying, what one sees - physical, external appurtenances.

Q (7): Good business decisions in terms of profit earning is _____.

1.Short term process. (This is the correct answer)

Explanation : Good business decisions in terms of profit earnings may often be short term, but ethical standards compel long term focus, which could mean sometimes painful choices.

2.Ethical process.

3.Non- social activity.

4.Only motive.

5.Long term process. (Your answer is incorrect)

Q (8): In the case of insurance, the product is a _____.

1.Promise. (This is the correct answer)

Explanation : In the case of insurance, the tangibles are practically non-existent. The product is only a promise. The purchase is made without reference to anything tangible. The policy document does not exist at that time. The policy document is useful only if a breach of promise is alleged and one has to go to court.

2.Brand name.

3.Policy document.

4.Agent.

5.Insurance contract. (Your answer is incorrect)

Q (9): When was the Consumer Protection Act enacted?

1.1986 (This is the correct answer)

Explanation : The Consumer Protection Act, 1986 was enacted to provide a simpler and quicker access to Redressal of consumer grievances.

2.1975

3.1973

4.1965

5.1987 (Your answer is incorrect)

Q (10): An ethical dilemma in business is-

1.To choose between two wrongs for the business benefit.

2.A conflict between alternatives, whether to choose good with less profit or bad with more profit. (This is the correct answer)

Explanation : In business, a dilemma can arise if the benefits from one choice are in the short term, while the other choice is more beneficial in the long terms.

3.A conflict between two managers that simply reflects their ego.

4.A conflict between two competitors for earning maximum profit.

5.None of the above statements. (Your answer is incorrect)

Q (11): Rural population is the lowest in which of the following states?

1. Goa
2. Sikkim (This is the correct answer)
- Explanation : In Sikkim, the rural population is around 5% only.
3. Assam
4. Mizoram
5. Meghalaya (Your answer is incorrect)

Q (12): Which government scheme will create a network of technology centres and incubation centres to promote start ups and accelerate entrepreneurship in the agro industry?

1. DESIRE.
2. ASPIRE. (This is the correct answer)

Explanation : A Scheme for Promotion of Innovation in Rural Industry and Entrepreneurship' (ASPIRE) will create a network of technology centres and incubation centres to promote start ups and accelerate entrepreneurship in the agro industry.

3. EMPIRE.
4. INSPIRE.
5. REHIRE. (Your answer is incorrect)

Q (13): Before making a buying decision, what factor can be skipped by a customer?

1. His need to be satisfied.
2. Evaluating the alternatives present in market.
3. Search which product has satisfied other's needs. (This is the correct answer)

Explanation : A customer buys because he wants to satisfy a need. Therefore before buying he has to become aware of a need to be satisfied, he must want to satisfy that need, search for alternatives, gather the data, compare that data and evaluate the alternatives on the basis of such comparisons.

4. Search alternatives that can satisfy the need.
5. He must want to satisfy that need. (Your answer is incorrect)

Q (14): Sustainability has given rise to a new concept of _____.

1. Single bottom line
2. Double bottom line
3. Triple bottom line (This is the correct answer)

Explanation : Sustainability has given rise to a new concept of Triple Bottom Line, TBL, an expression coined by John Elkington. TBL suggests that there be separate bottom lines for social, environmental and financial dimensions.

4. A and B
5. A and C (Your answer is incorrect)

Q (15): Which is the premier research organisation in life insurance marketing in the U.S.?

1. MIMRA.
2. IRDA.
3. LIMRA. (This is the correct answer)

Explanation : LIMRA, the premier research organisation in life insurance marketing in the U.S. had found that ethics in insurance selling consists mainly of putting the interests of the client first.

4. DIMRA.
5. RALIM. (Your answer is incorrect)

Q (16): Economic activities in the _____ and _____ sectors lead to the production of "goods".

1. Primary and tertiary
2. Secondary and tertiary
3. Tertiary and quinary
4. Secondary and primary (This is the correct answer)

Explanation : Economic activities in the primary and secondary sectors lead to the production of goods that are sold in the market. The outputs in the other three sectors are different.

5.Secondary and quaternary. (Your answer is incorrect)

Q (17): The entry barrier is minimal in the ____ business.

- 1.Primary
- 2.Secondary
- 3.Tertiary
- 4.Service (This is the correct answer)

Explanation : The entry barrier is minimal in the service businesses. The basic features of service products can easily be replicated by competitors. The way to get advantage over the competition is to acquire differentiation in the quality of the service.

5.All of the above (Your answer is incorrect)

Q (18): Who first launched Self Help Group (SHG) Bank Linkage programme?

- 1.RBI
- 2.SBI
- 3.Commercial banks.
- 4.NABARD (This is the correct answer)

Explanation : NABARD, in 1992, formed the SHG Bank Linkage Project, which is today the world's largest micro finance project.

5.Cooperative banks. (Your answer is incorrect)

Q (19): Name an attitude which is formed by a long term, overall evaluation of a firm's performance?

- 1.Customer satisfaction.
- 2.Customer retention.
- 3.Positive response.
- 4.Service mix.
- 5.Service quality. (Your answer is correct)

Explanation : Service quality is an attitude formed by a long term, overall evaluation of a firm's performance.

Q (20): Which among the following is not a peril in case of life insurance?

- 1.Death.
- 2.Sickness.
- 3.Disabilities.
- 4.Living too long.
- 5.None of the above. (Your answer is correct)

Explanation : Perils in the case of life insurance are death, sickness, disabilities and living too long.

Q (21): How much percentage should be reserved for CSR according to law?

- 1.2% of Net Profit. (This is the correct answer)

Explanation : The laws prescribe that companies must set aside at least 2% of net profits towards activities of social responsibility (CSR).Many companies however, understand the role they have to play as responsible citizens and commit substantial resources to such issues.

- 2.5% of Total Profit.
- 3.2% of Gross Profit.
- 4.5% of Net Profit.
- 5.3% of Total Profit. (Your answer is incorrect)

Q (22): In the case of services, the most effective form of publicity is the____.

- 1.Word of mouth. (This is the correct answer)

Explanation : In the case of services, the most effective form of publicity is the 'Word of Mouth'. This happens when a person familiar with the product or service, endorses it to another, personally.

- 2.Speak the truth.
- 3.The best quality speaks.
- 4.Instant feedback.

5.Exclusive interviews. (Your answer is incorrect)

Q (23): When you enter a super market, you often see advertisements for introductory low prices for some fresh items; it can be the perfect example of which marketing strategy?

1.Penetration pricing. (This is the correct answer)

Explanation : Strategy is to charge the lowest possible price in market. There are two consequences. One is to attract some part of the market or may be even to capture substantial part of it. Another is to see that competitors, unable to stand the financial squeeze, exit the market. This is the penetration strategy.

2.Collusion pricing.

3.Skimming strategy.

4.Product development.

5.Stock clearance strategy. (Your answer is incorrect)

Q (24): As on 31st March 2015, there were how many private insurance companies transacting life insurance business in India?

1.15

2.23 (This is the correct answer)

Explanation : As on 31st March 2015, there were 23 private insurance companies transacting life insurance business in India. Between them and LIC, they had 11,033 offices across the country, compared to LIC's approximately 2500 in the year 2000.

3.25

4.20

5.18 (Your answer is incorrect)

Q (25): State the reason for which the Million Dollar Round Table association was formed?

1.To enhance the management strategies in an organisation.

2.To help the insurance brokers to develop ethical business practices. (This is the correct answer)

Explanation : The Million Dollar Round Table is a trade association formed in 1927 to help insurance brokers and financial advisors to establish best business practices and develop ethical and effective ways to increase client interest in insurance products, specifically in life insurance.

3.To help the insurance agents to develop ethical business practices.

4.To develop the marketing strategies in order to maximize its profit.

5.Both (b)&(d) (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 12

Q (1): Which initiative of Hindustan Unilever was started in 2001 for the women in villages?

1.Women safety.

2.Shakti. (This is the correct answer)

Explanation : Another initiative of HUL, started in 2001, is called 'Shakti'. Women in villages, called Shakti Ammas, are encouraged to become entrepreneurs distributing HUL's products.

3.Himmat.

4.Naari suraksha.

5.Naari Shakti. (Your answer is incorrect)

Q (2): Computer for a software engineer is a_____.

1.Comfort.

2.Luxury.

3.Necessary. (This is the correct answer)

Explanation : Computer for a software engineer is a necessity as they have to build software application which can be done in computers.

4.Status.

5.None of the above. (Your answer is incorrect)

Q (3): The Choice of criteria is a personal matter. process of choice is ____

- 1.Rational
- 2.Irrational
- 3.Non rational (This is the correct answer)

Explanation : The choice of criteria is a personal matter. The logic behind such choices have no Universal acceptance. Thus the process of choice is not a rational one. It is not irrational either. It is non rational, this only means that the rationality is unique to each person's personality, situation and needs.

- 4.Any one from the above
- 5.All of the above (Your answer is incorrect)

Q (4): Which of following technique is not used in the matter of services? I. Test marketing. II. Research marketing. III. Niche Strategy.

- 1.Only (iii)
- 2.Only (ii)
- 3.Only (i)&(ii) (This is the correct answer)

Explanation : There are limitations in using these in the case of services, mainly because services are intangible, difficult to measure or sample and even difficult to articulate precisely.

- 4.Only (ii)&(iii)
- 5.All (i),(ii)&(iii) (Your answer is incorrect)

Q (5): Employee relationship marketing is commonly referred as-

- 1.Employee motivation.
- 2.Relationship marketing.
- 3.Organisation culture.
- 4.Internal marketing. (This is the correct answer)

Explanation : With an internal marketing strategy, employees are treated as internal customers who must be convinced of a company's vision. The purpose of internal marketing is to ensure that all company employees understand that they need to cooperate fully to satisfy customer requirements in order to achieve the corporate objectives.

- 5.Employee recognition. (Your answer is incorrect)

Q (6): The focus of marketing relies upon -

- 1.Advertising
- 2.Publicity
- 3.Organization
- 4.Consumer (This is the correct answer)

Explanation : Consumer is the focus of marketing; therefore, it is important to understand consumers, their characteristics and buying behaviors.

- 5.Customer (Your answer is incorrect)

Q (7): Why the principle of marketing does not apply to services?

- 1.Due to separability.
- 2.Due to availability.
- 3.Due to flexibility.
- 4.Due to intangibility. (This is the correct answer)

Explanation : Intangibility is one of the main characteristics of all services. For this reason, principle of marketing cannot be applied to services in the same manner as applicable to goods.

- 5.Due to demand and supply. (Your answer is incorrect)

Q (8): Name the service which adds value to the tangible products?

- 1.Advertising.
- 2.Décor.
- 3.Repairing.
- 4.Laundry.

5.All the above. (Your answer is correct)

Explanation : Services which add value to tangible products are advertising, décor, repair and laundry.

Q (9): Which kind of barriers is postulated for entry of competitors in service sector?

1.Higher average costs.

2.Initial capital requirement.

3.Produce large outputs.

4.Product differentiation.

5.All the above. (Your answer is correct)

Explanation : Barriers to entry are those obstacles that make it difficult for potential new entrants from disturbing the existing market structure. Five kinds of barriers are postulated- cost, initial capital requirement, produce large outputs, product differentiation and legal.

Q (10): If there has been a fire in a godown and it is shown that the fire was a case of arson, what the insurance company will do?

1.It will not be a case of uncertainty therefore company will not pay the loss. (This is the correct answer)

Explanation : If there has been a fire in a godown and the goods stored therein are destroyed, if it is shown that the fire was deliberately started- a case of arson- it will not be a case of uncertainty and therefore the insurance company will not pay for the loss.

2.It will be a case of uncertainty and insurer will pay the loss.

3.There will be no loss and there will be nothing for insurance company to pay.

4.The occurrence of the event is due to the reason insured, company will pay.

5.None of the above. (Your answer is incorrect)

Q (11): In the year 2015, who allotted Unique Identification Number to 244 reinsurers in India?

1.IRDA (This is the correct answer)

Explanation : In the year 2015, 244 reinsurers and 90 Lloyds' syndicates were allotted Unique Identification Numbers by the IRDA (Insurance Regulatory and Development Authority of India).

2.GIC

3.Lloyds syndicates.

4.Foreign reinsurers.

5.NIC (Your answer is incorrect)

Q (12): Where the first life insurance policy was said to be issued in 1583?

1.England. (This is the correct answer)

Explanation : The first life insurance policy is said to have been issued in 1583 in England.

2.Germany.

3.France.

4.London.

5.Japan. (Your answer is incorrect)

Q (13): As per the customer, what can be the product basically? I. It is an aggregate of technical features and characteristics. II. It is an aggregate of utilities, values and perceptions. III. It is a complex cluster of value satisfaction.

1.Only (ii)

2.Only (ii)&(iii) (This is the correct answer)

Explanation : A product is basically something that a producer offers to a consumer to provide satisfaction of his needs. To the consumer, it is an aggregate of utilities, values, expectations and perceptions, a complex cluster of value satisfactions.

3.Only (i)

4.Only (iii)

5.Only (i)&(ii) (Your answer is incorrect)

Q (14): The aim of Bancassurance is to obtain ____ of two similar businesses.

1.Energies

2.Synergies (This is the correct answer)

Explanation : The aim of bancassurance is to obtain synergies of two similar businesses, both insurance companies and banks have large networks of outlets and large numbers of clients; both individuals and corporate bodies. If they work together the reach could be greater and there could be economies of scale leading to lesser marketing costs.

3.Combination

4.Profits

5.Growth (Your answer is incorrect)

Q (15): Which movement was started in the USA in the 1950s protesting against the death and injuries in car accidents?

1.Business ethics.

2.Consumerism. (This is the correct answer)

Explanation : Consumerism, as a movement started in the USA in the 1950s. It began with Ralph Nader protesting against death and injuries in car accidents, caused mainly because manufacturers neglected safety features.

3.Safety precautions.

4.Claim settlement.

5.Traffic control. (Your answer is incorrect)

Q (16): Consumer complaints tend to be:- I. Non-instrumental. II. Ostensive. III. Reflexive.

1.Only (iii)

2.Only (ii)

3.Only (i)&(ii) (This is the correct answer)

Explanation : DETAILED SOLUTION Consumer complaints tend to be non-instrumental and ostensive. A consumer complaint is an expression of dissatisfaction on a consumer's behalf to a responsible party.

4.Only (i)&(iii)

5.Only (ii)&(iii) (Your answer is incorrect)

Q (17): The concept of _____ makes the principle of marketing applicable to situations other than the sale of goods in the marketplace.

1.Economics

2.Corporate social responsibility

3.Values (This is the correct answer)

Explanation : The concept of value makes the principle of marketing applicable to situations other than the sale of goods in the marketplace. Management institutes "produce" qualified persons who are "bought" at campus recruitment.

4.Ethics

5.Finance (Your answer is incorrect)

Q (18): Which of the following actions doesn't have any the social impact?

1.Providing bonus to the employees.

2.Applying new recruitment policies favouring the local society.

3.Earning maximum profit by increasing their sales. (This is the correct answer)

Explanation : Social impact includes the impact on the local public and social services sector as a result of the business's activities. It is an effort made to create public value that is systematic, sustainable and innovative.

4.Building a club for employees to enjoy with family.

5.Opening a café for the employees. (Your answer is incorrect)

Q (19): Every ____ provides an opportunity to add a new element to the service, or to improve the delivery, thus augmenting the product.

1.Customer

2.Consumer

3.Product

4.Complaint (This is the correct answer)

Explanation : Every complaint provides an opportunity to add a new element to the service or to improve the delivery.

ry, thus augmenting the product. Customers should therefore be encouraged to record their experiences of the services provided.

5.Suggestion (Your answer is incorrect)

Q (20): The performance of business activities that direct the flow of goods and services from the producer to the customer is known as ____.

1.Transportation.

2.Distribution.

3.Production.

4.Marketing. (This is the correct answer)

Explanation : Marketing deals with the creation and delivery of goods and services to customers who want them. This activity directs the flow of goods and services from the producer to the customer.

5.Personal selling. (Your answer is incorrect)

Q (21): With the availability of the Internet as a vehicle for commerce, the concept of Reach has given way to the concept of Richness, which measures : i. Existing customers ii. Bandwidth iii. Interactivity

1.i ii and iv

2.i iii and iv

3.ii iii and i

4.ii iii and iv (This is the correct answer)

Explanation : Communication through advertisements in the media traditionally aims for maximum reach which refers to the number of persons likely to see the insertion. with the availability of the internet the concept of reach has given way to the concept of richness which measures - bandwidth : which is the amount of information that can be moved in a given time. depth of customisation : which is the extent to which the message can be personalised. interactivity : enabling dialogue.

5.i and iii (Your answer is incorrect)

Q (22): On which factors services can be distinguished from goods?

1.Ownership.

2.Perishability.

3.Heterogeneity.

4.Intangibility.

5.All the above. (Your answer is correct)

Explanation : Services are distinguished from goods mainly on five factors- intangibility, inseparability, heterogeneity, Perishability and ownership.

Q (23): Which of the following can be considered as “wrap on” in life insurance policy?

1.Accident cover.

2.Floating cover.

3.Life covers for wife.

4.Hospitalization.

5.All the above. (Your answer is correct)

Explanation : In life insurance, the ‘wrap on’ or riders can be Accident Cover, Critical Illness cover, Hospitalization, life cover for wife, floating covers, etc.

Q (24): In India, till 2000, what was the barrier related to insurance company?

1.Legal barrier to start an insurance company. (This is the correct answer)

Explanation : In insurance, in India, till 2000, there was a legal barrier to start an insurance company, but there was no barrier to become an insurance consultant, advising on what to buy and helping to recover claims.

2.To become an insurance consultant.

3.To help the client to recover claims.

4.Knowledge about the insurance product.

5.Advising on what insurance to buy. (Your answer is incorrect)

Q (25): Modern writers have used SIVA to present the marketing mix. Here “SIVA” stands for?

1.Solutions, Information, Value and Access. (This is the correct answer)

Explanation : Modern writers have used SIVA (Solutions, Information, Value and Access) to present the marketing mix. SIVA represents the outcomes, while the 4 Ps represent the inputs which can be managed to get results or outcomes.

2.Sales, Information, Value and Activity.

3.Satisfaction, Influence, Value and Appearance.

4.Size, Insurance, Validity and Authority.

5.Solutions, Insurance, Validity and Access. (Your answer is incorrect)

IC88 MARKETING AND PUBLIC RELATIONS - 13

Q (1): Which characteristic of service implies that standardization of services is difficult?

1.Homogeneity. (This is the correct answer)

Explanation : The implication of characteristic of Homogeneity is that standardization of services is difficult. The product was different to each customer, depending on the nature of its consumption.

2.Inseparability.

3.Ownership.

4.Availability.

5.Perishability. (Your answer is incorrect)

Q (2): At which stage of product cycle, promotional efforts are minimal?

1.Birth stage.

2.Maturity stage. (This is the correct answer)

Explanation : The third stage of maturity is when the product has become well known and is accepted in the market, the demand is steady and high and earnings are quite satisfactory. Promotional efforts are minimal here.

3.Debate stage.

4.Development stage.

5.Death stage. (Your answer is incorrect)

Q (3): The concept of rapid increase in the production of fish and marine product in India is known as_____.

1.White revolution.

2.Blue revolution. (This is the correct answer)

Explanation : The concept of rapid increase in the production of fish and marine product through package programme is called as blue revolution. It was launched in India during the seventh five-year plan (1985-1990).

3.Fish revolution.

4.Water revolution.

5.Pink revolution. (Your answer is incorrect)

Q (4): Which of the following in an organisation is capable enough for doing maximum good to society?

1.Laws and regulations.

2.Business ethics. (This is the correct answer)

Explanation : Business ethics means to keep the business under the expectations and welfare of society because society provides the place for the business.

3.Top management.

4.Brand success.

5.Employees. (Your answer is incorrect)

Q (5): Education taking place in the interaction of the teacher and the student, what is service here?

1.Teaching.

2.Learning.

3.Education. (This is the correct answer)

Explanation : Education takes place in the interaction of the teacher and the student. The service product called ‘Education’

ucation' exists only when the consumption (learning) of what is produced (teaching) takes place.

4.Attentiveness.

5.All the above. (Your answer is incorrect)

Q (6): The cost orientation focused on improving profits by ____ the production and other costs.

1.Increasing

2.Cutting

3.Reducing (This is the correct answer)

Explanation : The cost orientation aimed to improve profits by reducing the production and other operating cost, through economies, efficiencies and technology. The fallacy here is that reduced costs do not bring in revenue.

4.Eliminating

5.Avoiding (Your answer is incorrect)

Q (7): Which of the following can ensure ethics programme to be effectively followed in an organisation?

1.Redressal department.

2.Publication of code.

3.Employees of organisation. (This is the correct answer)

Explanation : Ethics programme can be effectively followed in an organisation by the involvement of the employees, not only by setting the rules and regulations by the top management.

4.Only top management.

5.None of the above. (Your answer is incorrect)

Q (8): For which reason rural markets were neglected by the private insurers before nationalisation?

1.Poor connectivity.

2.Poor incomes of people.

3.Spread out populations.

4.All (a),(b)&(c) (This is the correct answer)

Explanation : Before nationalisation, private insurers used to neglect the rural markets for a number of reasons, most of which related to poor connectivity, relatively spread out populations and relatively poorer incomes.

5.Only (a)&(b) (Your answer is incorrect)

Q (9): The Pradhan Mantri Fasal Bima Yojana covers distress due to crop failure because of-

1.Unseasonal rains.

2.Pests and insects.

3.Kisan andolan.

4.Both (a)&(b) (This is the correct answer)

Explanation : The Pradhan Mantri Fasal Bima Yojana covers distress due to crop failure or damage because of unseasonal rains, monsoon failure, storms, floods, pests or diseases.

5.Both (c)&(d) (Your answer is incorrect)

Q (10): ____ is the term used for the robots with whom you can chat.

1.Alexa

2.Siri

3.Artificial intelligence

4.Chatting

5.Chabot (Your answer is correct)

Explanation : Another important development is in the use of artificial intelligence in robots. Chatbot is the word for robots with whom you can chat.

Q (11): Personal selling is another element of the promotion mix. personal selling would seem to be _____ method of promotion compared to advertisement and publicity.

1.Better

2.Cheap

3.Effective

4.Efficient

5.Expensive (Your answer is correct)

Explanation : Personal selling would be an expensive method of promotion compared to advertisement and publicity, the per capita cost of contact would necessarily be high. The returns could be better because Unlike the other two personal selling has the capability to take the customer beyond the stage of interest and curiosity and lead him to a sale.

Q (12): Which of the following can be the example of products whose demand is generated due to fortuitous emergence?

1.Synthetic detergent.

2.Mobile phone.

3.Internet.

4.Walkman.

5.All the above. (Your answer is correct)

Explanation : Technological advancement or fortuitous emergence of some by-product in the course of efforts to develop something else, may lead to creation of needs and demands. Computer, synthetic detergent, mobile phone, internet are few examples of it.

Q (13): In the case of insurance, the product is a_____.

1.Promise. (This is the correct answer)

Explanation : In the case of insurance, the tangibles are practically non-existent. The product is only a promise. The purchase is made without reference to anything tangible. The policy document does not exist at that time. The policy document is useful only if a breach of promise is alleged and one has to go to court.

2.Brand name.

3.Policy document.

4.Agent.

5.Insurance contract. (Your answer is incorrect)

Q (14): Name the process in which someone can obtain a desired object by offering something in return?

1.Barter system. (This is the correct answer)

Explanation : In the early days, buyers and sellers used to meet at a place called a market on fixed days and exchange goods of fairly equal value or worth. This was the barter system.

2.Selling.

3.Marketing.

4.Online market.

5.Buying behavior. (Your answer is incorrect)

Q (15): Which from the options is not true regarding the direct marketing?

1.It's not measurable. (This is the correct answer)

Explanation : Direct marketing wherein the provider of the service gets in touch with the customer without the aid of an intermediary. The advantage is reduction of costs.

2.It helps in reduction of cost.

3.Without the aid of intermediary.

4.Based on understanding.

5.Based on E-business to survive. (Your answer is incorrect)

Q (16): Conceptually, the mechanism of insurance is very simple. People who are exposed to the same__ are brought together.

1.Danger

2.Risk (This is the correct answer)

Explanation : People who are exposed to the same risk, are brought together. Different kinds of risks can be identified and separate group made, including those who are exposed to such risks.

3.Peril

4.Situations

5.Mechanism (Your answer is incorrect)

Q (17): The economic activities in the Secondary Sector are referred as_____.

1.Services.

2.Goods. (This is the correct answer)

Explanation : Economic activities in the primary and secondary sectors lead to the production of goods that are sold in the market.

3.Supporting activities.

4.Intangible products.

5.All the above. (Your answer is incorrect)

Q (18): Which of the following is not a tangible dominant?

1.Medicine.

2.Education. (This is the correct answer)

Explanation : Services are very different from goods. They are not tangible like goods. Education is the development of knowledge which may be perceived in the behaviour of the student but cannot be measured.

3.Automobiles.

4.Agriculture.

5.Confectionary. (Your answer is incorrect)

Q (19): If the complainant accepts then within how many days insurer has to implement the recommendation of the Ombudsmen?

1.7 days.

2.10 days.

3.15 days. (This is the correct answer)

Explanation : The insurer has to implement the recommendation of the Ombudsman within 15 days, if the complainant accepts the same.

4.20 days.

5.25 days. (Your answer is incorrect)

Q (20): The demand for which a consumer spends his maximum share of income is-

1.Need of product.

2.Necessity of consumer.

3.Elasticity of demand. (This is the correct answer)

Explanation : A positive income elasticity of demand is associated with normal goods; an increase in income will lead to a rise in demand. It is a demand for which a consumer spends his maximum share of income.

4.Utility of customer.

5.Comfort of consumer. (Your answer is incorrect)

Q (21): Which of the following is not an insurance web aggregators in India?

1.Easyinsuranceindia.com.

2.Apnapaisa.com

3.Securepayments.com (This is the correct answer)

Explanation : Top insurance web aggregators are policybazaar.com, insurancePundit.com, ApnaPaisa.com, myinsuranceclub.com, Click2insure.com, insurancemall.in, easyinsuranceindia.com etc.

4.insurancePundit.com

5.insurancemall.in (Your answer is incorrect)

Q (22): From the given alternatives, choose the one that is correct: i. There has to be uncertainty about both the peril and the risk. ii. If there is no uncertainty, it cannot be insured. iii. Insurance is done against the contingency.

1.Only i

2.Only ii

3.Both i and iii

4.All of the three (This is the correct answer)

Explanation : Insurance covers only uncertainties. The risk only means that there is a possibility of loss or damage, it may or may not happen. There has to be an uncertainty about both the peril and the risk.

5.Only iii (Your answer is incorrect)

Q (23): The service is only as good as the _____ of the person receiving it.

1.Need

2.Status

3.Demand

4.Experience (This is the correct answer)

Explanation : Service is rendered by a person. The service is received by another person. The location in which the service is performed or the tools which are used for that purpose are only as good as the experience of the person receiving the service.

5.Time (Your answer is incorrect)

Q (24): A complaint is an indication of inadequacy, which may be due to : i. Faulty perceptions. ii. The customer himself neglecting instructions. iii. Design of the delivery system

1.only i and iii

2.ONLY ii

3.Only iii

4.Only i and ii

5.i ii and iii (Your answer is correct)

Explanation : A complaint is an indication of inadequacy, which may be due to the design of the delivery system, the customer himself neglecting instructions or the faulty perceptions.

Q (25): Poor quality becomes the norm when which of the following assumptions prevail?

1.To err is not human.

2.Customer satisfaction is a core responsibility.

3.Willing to work in our country/company.

4.It can also be done with politicians around.

5.Customer want price cuts, not quality. (Your answer is correct)

Explanation : Poor quality becomes the norm when the following assumptions prevail-One can never be perfect, To err is human, Quality is expensive, Customers want price cuts, not quality, May work elsewhere, but not in our country/company/industry, Our complaints department is good enough to take care of customer satisfaction and nothing can be done with politicians around.

IC88 MARKETING AND PUBLIC RELATIONS - 14

Q (1): Which of the following cannot be the type of ethical dilemma?

1.Truth vs. loyalty.

2.Short term vs. long term.

3.Individual vs. community.

4.Justice vs. mercy.

5.All the above. (Your answer is correct)

Explanation : There can be four different types of ethical dilemma paradigms: truth vs. loyalty, short term vs. long term, individual vs. community and justice vs. mercy.

Q (2): Which of the following is not an advantage of distribution channel?

1.Increase the cost of distribution. (This is the correct answer)

Explanation : The advantages of the distribution channel are- reduce the cost of distribution both for producer and consumer, support by way of advice, supplements for promotional activities, a source of market intelligence, wide spread reach of producers etc..

2.Support by way of advice.

3.Supplements for promotional activities.

- 4.A source of market intelligence.
- 5.Wide spread reach of producers. (Your answer is incorrect)

Q (3): Name the process of disaggregating the total market on the basis of characteristics.

- 1.Segmentation. (This is the correct answer)

Explanation : Segmentation is the process of disaggregating the total market on the basis of characteristics. It means aggregating prospective buyers into groups or segments with common needs.

- 2.Marketing.
- 3.Partition.
- 4.Assemblage.
- 5.Orientation. (Your answer is incorrect)

Q (4): Which insurance company was unable to fulfil the obligation of minimum business requirement in rural areas ?

- 1.Life Insurance Corporation of India. (This is the correct answer)

Explanation : During the years 2013-14 and 2014-15, all insurance companies fulfilled the obligations of minimum business requirement in rural areas except the LIC, which, in the year 2014-15, managed to do only 23.09%.

- 2.New India Assurance of India.
- 3.General Insurance Company.
- 4.United India Insurance Company.
- 5.The Oriental Insurance Company. (Your answer is incorrect)

Q (5): Customer buy product because they see _____ in the product.

- 1.Quality.
- 2.Value. (This is the correct answer)

Explanation : Customer buy product because they see value in the product. When value is high, price or difficulty in procuring, do not matter.

- 3.Price.
- 4.Quantity.
- 5.Configurations. (Your answer is incorrect)

Q (6): The gap between a customer's expectations of service and perception of service actually delivered is known as _____.

- 1.Communication gap.
- 2.Service gap. (This is the correct answer)

Explanation : The gap between a customer's expectations of service and perception of service actually delivered is known as the service gap.

- 3.Quantity gap.
- 4.Performance gap.
- 5.Delivery gap. (Your answer is incorrect)

Q (7): Which of the following is not considered as a component of holistic marketing?

- 1.Relationship marketing.
- 2.Superior Marketing. (This is the correct answer)

Explanation : Every holistic marketing approach includes four main components: relationship marketing, internal marketing, integrated marketing and societal marketing.

- 3.Integrated marketing.
- 4.Internal marketing.
- 5.Societal marketing. (Your answer is incorrect)

Q (8): In a topic marketing management, what is the aim of marketing process?

- 1.Personal selling.
- 2.Profit maximization.
- 3.Customer satisfaction. (This is the correct answer)

Explanation : In marketing management, marketing is an organizational function and a set of process for creating, communicating and delivering value to customers. Its main aim is the satisfaction of customer needs.

4.Sales maximization.

5.Increase production. (Your answer is incorrect)

Q (9): The first Indian life insurance company was_____.

1.Life Insurance Corporation of India.

2.The Lloyds coffee house in London.

3.Bombay Mutual Assurance Society Ltd. (This is the correct answer)

Explanation : In India, two British companies, the European and the Albert, attempted writing business on Indian lives in 1870. The first Indian life insurance company, called the Bombay Mutual Assurance Society Ltd., was formed in 1870.

4.General Insurance Corporation of India.

5.None of the above. (Your answer is incorrect)

Q (10): Which of the following is an element of augmented service offerings? Accessibility of the services. Interaction with service organisation. Customer participation. Supporting services.

1.Only (i)&(iii)

2.Only (ii)&(iv)

3.Only (i),(ii)&(iii) (This is the correct answer)

Explanation : There is a need to involve the customer in the production of service offering and reinforcing that the basic service package has to be expanded to a more holistic model of augmented (value added) service offering. The elements of augmented service offerings are accessibility of the services, interaction with service organisation and customer participation.

4.Only (iii)&(iv)

5.Only (ii),(iii)&(iv) (Your answer is incorrect)

Q (11): From the variety of techniques which is not used to develop to do market research in relation of goods?

1.Survey

2.Questionnaire.

3.Observations.

4.Notifications. (This is the correct answer)

Explanation : A variety of techniques, like surveys, questionnaires, interviews, observations etc., have been developed to do market research in relation to goods.

5.Interviews. (Your answer is incorrect)

Q (12): Theories on motivation suggest that-

1.People act in order to get pleasure and satisfaction.

2.People act in order to avoid pain or dissatisfaction.

3.People act in order to learn something new.

4.Both (a) & (b) (This is the correct answer)

Explanation : Theories on motivation suggest that people act in order to get pleasure or satisfaction and in order to avoid pain or dissatisfaction. They seek rewards and avoid punishments.

5.Both (a) & (c) (Your answer is incorrect)

Q (13): A grievance has to be taken seriously because-

1.It indicates what customers expect.

2.Its warning that customer may be lost.

3.It gives clues as to what is going wrong.

4.It means that quality is not perceived as satisfactory.

5.All the above statements are true. (Your answer is correct)

Explanation : A customer has a grievance when he does not get what he thinks he is entitled to get. A grievance has to be taken seriously because (i) it indicates what customer expects and gives clues what is going wrong, (ii) it means that quality is not perceived as satisfactory, (iii) otherwise customer may be lost.

Q (14): Promotion is done through a mix of-

- 1.Public relation.
- 2.Advertisements.
- 3.Personal selling.
- 4.Sales promotion.
- 5.All the above. (Your answer is correct)

Explanation : Promotion is done through a mix of- advertisement, personal selling, sales promotion, publicity (which is not paid for).

Q (15): Which of the following is a major programme under the Government Mission Antyodaya?

- 1.The National Rural Livelihood Mission.
- 2.The Deen Dayal Upadhyaya Grameen Kaushalya Yojana.
- 3.The National Social Assistance Programme.
- 4.The Indira Awaas Yojana.
- 5.All the above programmes. (Your answer is correct)

Explanation : The Government has started the Mission Antyodaya; the target is to address multi dimensional poverty in lock-step with four major programmes, the National Rural Livelihood Mission, the Deen Dayal Upadhyaya Grameen Kaushalya Yojana, the National Social Assistance Programme and the Indira Awaas Yojana.

Q (16): Which of the following is not an element of service in context of insurance?

- 1.Benefits in the insurance plan. (This is the correct answer)

Explanation : The elements of service, in the context of insurance, are not the benefits included in an insurance plan. The elements are in the interaction which the customer has with the office or its representatives (i) at the time of sale, (ii) at the time of servicing while the policy is in force and (iii) at the time of claim.

- 2.Insurer attitude at the time of sale.
- 3.Services provided at the time when policy is in force.
- 4.At the time of settlement of the claim.
- 5.Responsiveness towards the customer's queries. (Your answer is incorrect)

Q (17): Nancy is going to marry and she wants everything to be perfect in her marriage, especially her wedding dress. What kind of product is a wedding dress?

- 1.Speciality goods. (This is the correct answer)

Explanation : Specialty goods are high priced goods which are bought only from specific outlets. They are not bought out of instant decisions. The effort to purchase is specially made. Cars, jewellery and fashion dresses are specialty goods.

- 2.Consumer goods.
- 3.Convenience goods.
- 4.Shopping goods.
- 5.Unsought goods. (Your answer is incorrect)

Q (18): Which is a fully community owned, comprehensive health risk management scheme, working among the slums in Mumbai, Pune and Rajasthan?

- 1.Uplift mutual. (This is the correct answer)

Explanation : Uplift Mutual is a fully community owned, comprehensive health risk management scheme, working among the slums in Mumbai, Pune and Rajasthan. The persons who are covered by the scheme own the company.

- 2.Term insurance.
- 3.Risk management scheme.
- 4.Slum Health Insurance.
- 5.Slum insurance scheme. (Your answer is incorrect)

Q (19): Customer's buying decision is a_____.

- 1.Vertical process.
- 2.Rational process. (This is the correct answer)

Explanation : Customer's buying decision is a rational process. Rational process refers to a decision making process that is based on making choices that result in the optimal level of benefit or utility for an individual.

3. Fallacious Process.

4. Monetary process.

5. Influencing process. (Your answer is incorrect)

Q (20): The market can be divided on the basis of- I. Socio-economic groups. II. Family life cycles. III. Product life cycles.

1. Only (ii)

2. Only (i)&(ii) (This is the correct answer)

Explanation : The market can be divided on the basis of socio-economic groups or family life cycles. According to family life cycle, market can be segmented into several segments like newly married, single, family with aged parents and so on.

3. Only (i)

4. Only (ii)&(iii)

5. All (i),(ii)&(iii) (Your answer is incorrect)

Q (21): Which of the following is the social responsibility of an organisation?

1. To resolve non-economic issues of social relevance.

2. To maintain economic performance by using its resources. (This is the correct answer)

Explanation : Organisations have one and only one social responsibility and that is to use its resources and engage in activities designed to achieve its basic purpose, mostly in terms of economic performance.

3. To design the products as per the demand of the customers.

4. To give best deals than the competitors.

5. To provide the training to the employees. (Your answer is incorrect)

Q (22): In BCG Matrix, market growth rate indicates the _____.

1. Position of the product as per the market share.

2. Position of the company and its share.

3. Position of the product in the life cycle. (This is the correct answer)

Explanation : Considerations of the market growth rate as per the BCG Matrix would be to indicate the position of the product in the life cycle and if products getting obsolescent need not be continued with.

4. Size and nature of the industry.

5. Decisions related to the price of the product. (Your answer is incorrect)

Q (23): The linkages to the economy are more _____ in the case of non life insurance business.

1. Subtle

2. Appropriate

3. Direct (This is the correct answer)

Explanation : the linkages to the economy are direct in the case of non life insurance business. Trade and industry get some steadiness and stability, despite the vagaries of natural and other calamities, because of insurance arrangements otherwise there would have been major failures in business.

4. Suitable

5. Beneficial (Your answer is incorrect)

Q (24): Which of the following is not an example of quinary sector? I. Education. II. Beauty. III. Advertisement.

1. Only (ii)

2. Only (i)

3. Only (iii) (This is the correct answer)

Explanation : The quinary sector includes activities that change and improve the people. Hospitals, education and beauty are the examples of this sector.

4. Only (i)&(iii)

5. Only (ii)&(iii) (Your answer is incorrect)

Q (25): If commissions go wrong, what are they called?

- 1.Kickbacks.
- 2.Bribery.
- 3.Word of mouth.
- 4.Both (a) & (b) (This is the correct answer)

Explanation : Sometimes illegal commissions are considered as kickbacks or bribery. A kickback is a form of negotiated bribery in which a commission is paid to the bribe taker in exchange of services rendered.

- 5.Both (b) & (c) (Your answer is incorrect)

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Q (1): There are ____ critical gaps that may occur affecting the quality of service.

- 1.2
- 2.3
- 3.4
- 4.5 (This is the correct answer)

Explanation : There are five critical gaps that may occur affecting the quality of service which as stated earlier is the difference between expectation and experience as perceived. gap 1 is between the management's perception of customers expectation (MCE) and customer expectation CEE. gap 2 is between MCE and the product benefits as designed DPB gap 3 is between the DPB and the actual product benefits as delivered APB gap 4 is between APB and the communication of the service benefits to customers gap 5 is between the perception of actual experience and CEE.

- 5.6 (Your answer is incorrect)

Q (2): A number of factors cause perceptual errors. Some of them are i. Role or status of the person ii. Physical features. iii occupation

- 1.Only ii
- 2.Only i and iii
- 3.Only i
- 4.Only iii
- 5.All of the above (Your answer is correct)

Explanation : A number of factors cause perceptual errors. Role or status of the person, occupation, physical features, body language, stereotyping, halo effect etc.

Q (3): Regardless of what the product is, customers feel happy when they experience - i. Positive strokes ii courtesy iii ease of access iv insensitivity v no response

- 1.i iii and v
- 2.ii and iv
- 3.i and ii
- 4.v iii and i
- 5.ii i and iii (Your answer is correct)

Explanation : Regardless of what the product is customers feel happy when they experience recognition i.e. positive strokes, responsiveness, sensitivity, competence, reliability, credibility and ease of access.

Q (4): Which of the following is an element of the complex product personality?

- 1.The associated features.
- 2.The brand name and logo.
- 3.The package and label.
- 4.The core or basic constituent.
- 5.All the above elements. (Your answer is correct)

Explanation : The packaging, the labelling, the price, the image created through promotional efforts, all add up to make the product create a specific image in the mind of the consumer. Utility is only one element of the complex product personality.

Q (5): Which of the following is not refers as physical factor of marketing mix?

1.Discounts given on the products. (This is the correct answer)

Explanation : Physical factor refers to the layout of the office, ambience, the décor, the furnishings, the arrangements for reception and for waiting and even the fragrances, which can provide for satisfaction.

2.Layout of the office.

3.The furnishings and the décor.

4.The arrangements for reception.

5.The fragrances used in the place. (Your answer is incorrect)

Q (6): One of the tasks of effective insurance agent is to-

1.Tackle the perception of the prospects. (This is the correct answer)

Explanation : One of the tasks of the effective insurance agent is to tackle the perception of the prospects. While handling objections from prospects, insurance agents are effectively trying to influence perceptions.

2.Design the product.

3.Make amendments in the product.

4.Decide physical surroundings at the time of sales.

5.Increase the claim amount at any cause. (Your answer is incorrect)

Q (7): Which is the best possible way to create highest level of contact with customer?

1.Face to face encounter. (This is the correct answer)

Explanation : Face to face encounter is the best possible way to create highest level of contact with customer for maintaining service quality.

2.Telephone encounter.

3.Online encounter.

4.Check in encounter.

5.None of the above. (Your answer is incorrect)

Q (8): Delighting the customer in the service sector means-

1.Not to worry about customers lost.

2.Spending less time and money on advertising and marketing to find new customers. (This is the correct answer)

Explanation : Delighting the customer means- fewer customers lost • less time and money spent putting things right for dissatisfied customers • less time and money spent on advertising and marketing to find new customers • less use of costly discounts and offers to attract new customers • more time to devote to anticipating and meeting needs of your best customers.

3.Giving maximum discount and offers to attract new customers.

4.Devoting more time on new customers.

5.Focusing more on unsatisfied customers. (Your answer is incorrect)

Q (9): The model of doing business is changing from the traditional ____ to platforms

1.Nest

2.Pipes (This is the correct answer)

Explanation : As enterprises become more aware of the need to satisfy customers, they tend to talk about data foundation, the analytics road map and digital platforms that help to scale up efforts to satisfy customers. The model of doing business is changing from traditional pipes to platforms.

3.Tools

4.Stage

5.Rooms (Your answer is incorrect)

Q (10): Which of the following occurrence can be considered as peril for providing an insurance coverage? I. Very heavy rains for farmer's crops. II. Deliberately started fire in godown. III. Living too long in case of human being.

1.Only (ii)

2.Only (i)&(iii) (This is the correct answer)

Explanation : Very heavy rains or very poor rains are both perils for farmers. There is uncertainty about how the rains will be. Therefore, it will be covered by insurance. But insurance will pay only if there has been loss to the crops.

In the case of the human being, living too long can be as much a peril as dying too young.

3.Only (iii)

4.Only (i)

5.Only (ii)&(iii) (Your answer is incorrect)

Q (11): In insurance which marketing method can influence the customers at maximum?

1.Advertisement.

2.Personal selling.

3.Promotion. (This is the correct answer)

Explanation : In insurance, personal selling is of paramount importance. Promotion increases awareness and prompts the buying decision.

4.Product.

5.Price. (Your answer is incorrect)

Q (12): The non life insurance business in India, was nationalized in

1.1972

2.1976

3.1973 (This is the correct answer)

Explanation : In the year 1973, the non-life insurance was nationalised.

4.1974

5.1971 (Your answer is incorrect)

Q (13): Which of the following is not an example of the leisure services?

1.Cinema.

2.Theme park.

3.Advertising. (This is the correct answer)

Explanation : Cinemas, theatres, clubs, gyms, restaurants, hotels, theme parks are the examples of the Leisure/ recreation services.

4.Restaurant.

5.Gyms. (Your answer is incorrect)

Q (14): If there is no _____ there is no marketing activity.

1.Place

2.Price

3.Product

4.Exchange (This is the correct answer)

Explanation : Marketing is a continuous activity, taking place in dynamic situations. It looks at the decision processes of the producer and the decision processes of the customer and tries to bring these two decision processes together in an exchange transaction. If there is no exchange, there is no marketing activity.

5.Human resource (Your answer is incorrect)

Q (15): Those who believe that organizations must be socially responsive argue that Corporate power, vast in _____, must be brought to bear on certain social problems, if the latter are to be solved at all.

1.Integrity

2.Humanity

3.Intelligence

4.Potential strength (This is the correct answer)

Explanation : Those who believe that organizations must be socially responsive argue that, corporate power, vast in potential strength, must be brought to bear on certain social problems, if the latter are to be solved at all.

5.Social strength (Your answer is incorrect)

Q (16): A regular programme of contacts between the insurer and its customers helps to-

1.Explain each other's stands.

2.Strengthen favourable relationships.

3. Eliminates possible misunderstandings.
4. Clarify expectations from each other.
5. All the above statements. (Your answer is correct)

Explanation : A regular programme of contacts between the insurer and its customers helps to explain each other's stands, strengthen favourable relationships, eliminates possible misunderstandings, clarify expectations from each other.

Q (17): segmentation is usually done on the basis of

1. Geographic
2. Demographic
3. Buying behavior
4. Psychographic
5. All of the above (Your answer is correct)

Explanation : Geographic - region, district, density of population, climate, rural or urban. Demographic - family size, income, gender, religion etc Buying behavior like volume, frequency etc Psychographic like value systems, life styles, personality type etc.

Q (18): Which of the following is not a major reason for the growth of the service sector?

1. Increasing number of new product.
2. Greater concern about ecology and resource scarcity.
3. Greater life expectancy.
4. Higher percentage of women in labour force.
5. All the above reasons are true. (Your answer is correct)

Explanation : The major reasons for the growth of service industries are increasing affluence, increasing number of new product, greater concern about ecology and resource scarcity, greater life expectancy and higher percentage of women in labour force.

Q (19): Which of the following is not true regarding ethics?

1. Ethics is same as law. (This is the correct answer)
2. Ethics is contextual.
3. Ethics deals with questions of right and wrong.
4. Ethical in business is not ethical outside business.
5. None of the above statements. (Your answer is incorrect)

Explanation : What an individual or a company does, depends on the values, not on the provisions of the law.

Q (20): Perception is a function not merely of the persons concerned but also of _____ in which the events occurred.

1. Circumstances (This is the correct answer)

Explanation : Perception is a function not merely of the persons concerned, but also of situations or circumstances in which the events occurred. While making decisions, our understanding of the situation, the costs and rewards etc are all influenced by the perception.

2. Society
3. Place
4. Organization
5. Any one of the above (Your answer is incorrect)

Q (21): Which model of doing business is trending in market?

1. Pipe to platform. (This is the correct answer)

Explanation : Models of doing business are changing from the traditional pipe to platforms.

2. Traditional to practical.
3. Needs to wants.
4. Old to young generation.
5. Pipe to tank. (Your answer is incorrect)

Q (22): Distribution of the product adds _____ to the product.

1.Availability.

2.Place utility. (This is the correct answer)

Explanation : Distribution is the process by which the product is moved from the place where it was manufactured to the place where the customer can buy it. Distribution adds 'place utility' to the product.

3.Price.

4.Market intelligence.

5.Consumer. (Your answer is incorrect)

Q (23): The outputs in the other three sectors are different and are referred to as :

1.Goods

2.Services (This is the correct answer)

Explanation : Services are very different from goods. They are not tangible like goods. Services are produced in the other three sectors apart from primary and secondary sectors.

3.Micro activities

4.Sales

5.Production (Your answer is incorrect)

Q (24): Which of the following option affects ethical and unethical behaviour?

1.Competitive attitude.

2.Ethical dilemma. (This is the correct answer)

Explanation : Ethical dilemma is a condition where there is a conflict between choosing the right option. A decision would become an ethical dilemma only if the considerations for choice are based on values.

3.Teamwork.

4.Communication.

5.Organisational skills. (Your answer is incorrect)

Q (25): In marketing, _____ is the focal point.

1.Profit.

2.Sales.

3.Customers. (This is the correct answer)

Explanation : In traditional marketing management, customers are the focal point in any organisation.

4.Production.

5.All the above. (Your answer is incorrect)

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Q (1): The word ethics stands for_____.

1.Business plans.

2.Competitor's strategy.

3.Moral philosophy. (This is the correct answer)

Explanation : Ethics is defined as a moral philosophy or code of morals practised by a person or group of people.

4.Both (a) & (b)

5.Both (b) & (c) (Your answer is incorrect)

Q (2): Which of the following is the only public sector company in the field of life insurance?

1.Oriental Insurance Company.

2.General Insurance Company.

3.Life Insurance Corporation of India. (This is the correct answer)

Explanation : Life Insurance Corporation of India is the only public sector company in the field of life insurance.

4.New India Assurance Company Ltd.

5.Bombay Mutual Assurance Company. (Your answer is incorrect)

Q (3): In a hospital, which among the following cannot be considered as the key responsibilities of it?

- 1.Treatment of the sick.
- 2.Well qualified interns for support activities.
- 3.Proper medical attention.
- 4.Payments of advances during admissions. (This is the correct answer)

Explanation : In a hospital, the key activities are proper medical attention and treatment of the sick. These are also revenue earning activities. But filling up of forms and payments of advances at the time of admissions are sometimes given greater importance, which are not key activities.

- 5.Costly equipments for operations. (Your answer is incorrect)

Q (4): To realize potential, employees need these things- A sense of empowerment. An employee's salary. Knowledge and skills. An attitude to contribute.

- 1.Only (ii)&(iii)
- 2.Only (i)&(iv)
- 3.Only (ii),(iii)&(iv)
- 4.Only (i),(iii)&(iv) (This is the correct answer)

Explanation : To realize the potential, employees need three things -Knowledge and skills, an Attitude to contribute and a sense of Empowerment. All the three can be enhanced by the management. That is a responsibility of supervisors and managers.

- 5.Only (i),(ii)&(iii) (Your answer is incorrect)

Q (5): As per IRDA regulations, which of the following cannot be licensed as intermediaries?

- 1.Insurance Agents.
- 2.Web aggregations.
- 3.Brokers.
- 4.Banks.
- 5.None of the above. (Your answer is correct)

Explanation : Traditionally, insurance intermediaries have been categorised as either insurance agents or insurance brokers. The IRDA Regulations issued on 3rd December 2013 provide for Web Aggregators (WA) to be licensed as intermediaries.

Q (6): Segmentation would provide data on-

- 1.End users versus intermediaries.
- 2.Loyalty to product, outlet or manufacturer.
- 3.Preferences in product configuration.
- 4.Customer habit of buying product.
- 5.All the above. (Your answer is correct)

Explanation : Segmentation would provide data on- . Customer buying behavior . End users versus intermediaries . Loyalty towards product, outlet of manufacturer . Preferences in product configuration

Q (7): Which of the following items included in the code of ethics of some firms as strictly prohibited?

- 1.Falsification of accounts.
- 2.Extortion.
- 3.Bribery.
- 4.Illegal political payments.
- 5.All the above. (Your answer is correct)

Explanation : Following are some of the items included in the code of ethics of some firms, as strictly prohibited- Non-Adherence to safety and quality standards, Extortion, Bribery, Kickbacks, Illegal political payments, Use of inside information, Violation of any law, Falsification of accounts, Moonlighting, Revealing company secrets.

Q (8): Which of the following is the largest Non-life Insurance Company in India?

- 1.New India Assurance Company Ltd. (This is the correct answer)

Explanation : New India Assurance Company Ltd. is the largest non-life insurance company in India.

- 2.General Insurance Company.

- 3.United India Insurance Company Ltd.
- 4.ICICI Lombard General Insurance Company Ltd.
- 5.ING (Your answer is incorrect)

Q (9): Read the following statements and pick the false one.

- 1.Value is tangible (This is the correct answer)

Explanation : Value is intangible and not measurable. Value is not rational. What one values highly may have no value for another.

- 2.Value is not measurable
- 3.Value is not rational.
- 4.All are false.
- 5.All are right (Your answer is incorrect)

Q (10): Which of the following consumer buying behaviour requires the least efforts?

- 1.Regular buying. (This is the correct answer)

Explanation : Routine purchase is a purchase which consumer make regularly without involving in the decision-making process. Consumers simply repurchase their product as per their need.

- 2.Impulsive buying.
- 3.High involvement in buying situation.
- 4.New customers.
- 5.Maximum visiting customers. (Your answer is incorrect)

Q (11): Every product has a core as well as _____. The core consists of technical characteristics to perform the basic functions for which the product is made.

- 1.Supportives
- 2.Peripherals (This is the correct answer)

Explanation : Every product has a core as well as Peripherals. The core consists of technical characteristics to perform the basic functions for which the product is made. The Peripherals have no great functional utility but they add value. Product differentiations are created mostly through variations in Peripherals.

- 3.Index
- 4.Dissonance
- 5.Either b or c (Your answer is incorrect)

Q (12): The way in which an organization matches its human, financial and other physical resources with the wants of its customers.

- 1.Management.
- 2.Marketing. (This is the correct answer)

Explanation : The definition of marketing is that it is the way in which an organization matches its human, financial and other physical resources with the wants of its customers.

- 3.Selling and distribution.
- 4.Financial management.
- 5.Customer satisfaction. (Your answer is incorrect)

Q (13): Which of the following point doesn't indicate a true difference between advertising and public relation?

- 1.PR helps in trying credibility, while advertisements only state the positives.
- 2.The cost of advertisement is high and PR is comparatively low. (This is the correct answer)

Explanation : The cost of advertisement can be measured but not the efforts of PR. It is difficult to evaluate the effectiveness of the PR because the target is the mind sets of people and therefore intangible as well as not measurable.

- 3.Advertising is marketing and selling oriented while PR aimed at creating an understanding.
- 4.Advertisement can use imaginative visual, which PR cannot.
- 5.If PR is effective, there can be savings in advertisements. (Your answer is incorrect)

Q (14): In which services, initial capital costs are high?

- 1.Tax management.

2.Education.

3.Insurance sector. (This is the correct answer)

Explanation : Initial capital requirements vary according to the type of business. In many services, initial capital costs are low. In insurance, these are high.

4.Law.

5.Quality management. (Your answer is incorrect)

Q (15): Through which process the difference between the expectation and experience as perceived by the customer can be evaluated in service?

1.Service mix.

2.Performance evaluation.

3.Gap analysis. (This is the correct answer)

Explanation : Gap analysis is the process which helps in evaluating the five critical gaps that may occur affecting the quality of service, which, state the difference between expectation and experience as perceived by the customers.

4.Customer retention.

5.Service agenda. (Your answer is incorrect)

Q (16): Which of the following is the primary source of the other three characteristics of services?

1.Perishability.

2.Homogeneity.

3.Intangibility. (This is the correct answer)

Explanation : Out of the four unique characteristics that differentiate services from product, intangibility is the one that is the primary source of the other three characteristics.

4.Availability.

5.Ownership. (Your answer is incorrect)

Q (17): In India, which among all are not the regulations for an insurance agent?

1.Insurance agent can represent only one life and one non-life insurer.

2.No agent has sole selling rights for any territory.

3.Agent licence is granted only on the recommendation of the insurer.

4.Free-lancer insurance agent has sole selling rights. (This is the correct answer)

Explanation : Insurance business is sold through agents as intermediaries. In India, the regulations provide that an insurance agent can represent only one life and one non-life insurer. No agent has sole selling rights for any territory.

Insurers have many agents in every territory. An agent has to obtain a licence from the IRDA, which is granted only on the recommendation of the insurer and that too after passing a prescribed examination.

5.Agent has to obtain a licence from the IRDA. (Your answer is incorrect)

Q (18): What are the bases for Boston Matrix analysis developed by Boston Consulting Group?

1.Market price and market share.

2.Market demand and market price.

3.Market share and market attractiveness.

4.Relative market share and market growth rate. (This is the correct answer)

Explanation : The Boston Consulting Group had developed a grid known as the Boston Matrix, to do the analysis. It takes into account the appropriate stage in the life cycle reached by various products and the relative market share of the products.

5.Market growth rate and market size. (Your answer is incorrect)

Q (19): As per like the BOSTON MATRIX, The _____ is in a high growth industry, but not doing as well as the competitors.

1.Star

2.Cash cow

3.Dog

4.Cat

5.Problem child (Your answer is correct)

Explanation : The problem child is in a high growth industry, but it is not doing as well as the competitors. Perhaps, it requires commitment of higher resources.

Q (20): Self Help Group consist how much percentage of women members?

- 1.50%
- 2.60%
- 3.70%
- 4.80%
- 5.90% (Your answer is correct)

Explanation : SHGs is a community based group with 10-20 members. They are usually 90% of women from similar social and economic backgrounds, all voluntarily coming together to save small sum of money on a regular basis.

Q (21): Which of the following services provider can provide the heterogeneity in services?

- 1.The telephone operator.
- 2.The theatre usher.
- 3.The cabin steward.
- 4.Electronic instrumentations.
- 5.A teacher. (Your answer is correct)

Explanation : The quality of teaching is as varied as the students who attend the class. The same teacher, on another day, will not be explaining the same way. Even if the words and the examples are the same, the enthusiasm in the voice and the emphasis may differ.

Q (22): Which of the following relates to the study of the market, in order to understand its dynamic and changes in its behaviour?

- 1.Market research. (This is the correct answer)

Explanation : Market Research relates to the study of the market, in order to understand its dynamic and changes in its behaviour. The research involves systematic collection of data, to be analyzed, evaluated and used for marketing decisions.

- 2.Marketing changes.
- 3.Market structure.
- 4.Organizational efforts.
- 5.Marketing strategies. (Your answer is incorrect)

Q (23): Recovery in the service sector means-

- 1.Getting the complainant's loyalty back. (This is the correct answer)

Explanation : Recovery means getting the complainant's loyalty back. Recovery can be made via, apology, explaining the causes, empathy, urgent reinstatement, symbolic atonement and/or follow up.

- 2.Hiding the cause from the complainant.
- 3.Showing fake empathy towards the complainant.
- 4.Paying the recovery amount to the person.
- 5.Handling the situation until the consumer gets normal. (Your answer is incorrect)

Q (24): Which of the following defines how individuals, groups and organisation select, buy, use and dispose-off goods, services, ideas or experiences to satisfy their needs and wants?

- 1.Consumer behaviour. (This is the correct answer)

Explanation : Consumer behaviour is the study of how individuals, groups and organisation select, buy, use and dispose-off goods, services, ideas or experiences to satisfy their needs and wants.

- 2.Product cycle.
- 3.Marketing.
- 4.Customer satisfaction.
- 5.Planning. (Your answer is incorrect)

Q (25): How an organization proposes to achieve a long-term objective or mission?

- 1.By making promises.

2.Through strategies. (This is the correct answer)

Explanation : A strategy, briefly, is a long-term plan. It is how an organization proposes to achieve a long-term objective or mission. Strategic plans provide direction and all operational plans are derived therefrom.

3.By planning.

4.By commitments.

5.By tactics. (Your answer is incorrect)

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Q (1): There are, in the rural areas, bank correspondents, called

1.E-mitras

2.Bank mitras (This is the correct answer)

Explanation : There are, in the rural areas, Bank correspondents called Bank Mitra who would go to the villages with micro ATMs to enable the villagers to do banking transactions.

3.Kisan credit card

4.Telecom

5.NAM (Your answer is incorrect)

Q (2): Which of the following principles of Insurance tells that an insured may not be compensated by the insurance company in an amount exceeding the insured's economic loss?

1.Utmost good faith.

2.Principle of Indemnity. (This is the correct answer)

Explanation : Indemnity principle is a rule of insurance law which says an insurance policy should not confer a benefit greater in value than the loss suffered by the insured.

3.Causa proxima.

4.Reinsurance.

5.Insurable interest. (Your answer is incorrect)

Q (3): It is very used to locate supervisory personnel close to points where _____ may occur.

1.Key activities

2.Expenditures on non key activities

3.Moments of truth (This is the correct answer)

Explanation : It is useful to locate supervisory personnel close to points where moments of truth may occur. they can observe receive reports, apply correction, give guidance, make amends, enhance quality. In other words a large operation may be divided into smaller units of operations and made fairly autonomous for day-to-day functioning.

4.Unexpected situations

5.Recovery (Your answer is incorrect)

Q (4): U.S. President, John F Kennedy, in 1962, stated that the consumer had the rights to a number of things, which are they from the list given below? I. Tamper proof packaging. II. Be not deceived. III. Information. IV. Redress.

1.Only (i)&(iii)

2.Only (ii),(iii)&(iv)

3.All (i),(ii),(iii)&(iv) (This is the correct answer)

Explanation : U.S. President, John F Kennedy, in 1962, stated that the consumer had the rights to a number of things as listed below. The rights are-safety, health warnings, tamper proof packaging, etc., information, choice, redress (to be heard and compensated), be not deceived.

4.Only (i),(ii)&(iii)

5.Only (iii)&(iv) (Your answer is incorrect)

Q (5): Which of the following means building extra in the services in order to help improve customer loyalty?

1.Customizing services.

2.Customer satisfaction.

3.Service augmentation. (This is the correct answer)

Explanation : Service augmentation means adding value to a proposition via an additional innovative offer or services. So by laying on extra benefits, augmented services increases the sale and helps in improving customer loyalty.

4.Service (Your answer is incorrect)

Q (6): In India, why direct marketing is done Life Insurance Corporation of India?

1.Group gratuity.

2.Superannuation business.

3.Agent's benefits.

4.Both (a)&(b) (This is the correct answer)

Explanation : In India, direct marketing is done by the L.I.C. for its group gratuity and superannuation businesses. A separate department had been set up and officers were deputed to solicit and administer the business. Agents were not allowed to handle such businesses.

5.Both (b)&(c) (Your answer is incorrect)

Q (7): What in marketing refers to the place that a brand occupies in the mind of the customers?

1.Branding.

2.Market.

3.Configuration.

4.Positioning. (This is the correct answer)

Explanation : The images in the minds of the consumer, is the "position" of the product. The position influences the customer's inclinations to buy. Positioning is the objective and the outcome of the communication efforts in the marketing mix.

5.All the above. (Your answer is incorrect)

Q (8): Dissonance is likely to be more frequent in the case of insurance purchases, why?

1.In insurance, the payment of premium is real and immediate, while the benefit is distant and uncertain.

2.In most other purchases, there is a predisposition or willingness to buy, while in insurance, it is as if the purchase has been forced. The need is not felt strongly.

3.Policyholders feel a sense of loss or waste if the claim does not occur before the end of the term.

4.There are conditions and warranties which the policyholders, being unaware of their implication, could ignore affecting the validity of the insurance policy.

5.All the above statements are true. (Your answer is correct)

Explanation : Dissonance is likely to be more frequent in the case of insurance purchases because-

Q (9): Social responsibility is same as business ethics. True or false?

1.True, as both are focused on society welfare.

2.False, ethics is concerned with doing right and wrong whereas social responsibility is focused on company's impact on community.

3.False, ethics deals with doing right with shareholders and stakeholders whereas social responsibility is focused on society.

4.Both (a) & (b)

5.Both (b) & (c) (Your answer is correct)

Explanation : Ethics in general are concerned with right and wrong, business ethics focus on doing best for shareholders and stakeholders. On the other hand, social responsibility is focused on the company's impact on the environment and community.

Q (10): Which of the following statement is not true regarding insurance?

1.Insurance capitalizes earning power.

2.Insurance reduces destitute.

3.It enhances credit worthiness through enhanced security.

4.It creates equitable distribution of risks and losses.

5.It introduces uncertainty into business undertakings. (Your answer is correct)

Explanation : Insurance helps in introducing security into business undertakings, increases business efficiency (less risk, lesser the price), it enhances credit worthiness through enhanced security, makes saving possible, enables

investment, etc.

Q (11): Who can be the rural agents for selling insurance?

1. Teachers.
2. Dealers of motorcycles.
3. Cooperative societies.
4. All the above. (This is the correct answer)

Explanation : Dealers in pump sets, bicycles, motorcycles, tractors, etc., cooperative societies providing seeds and manure and helping in marketing are centres from which lot of insurance can be influenced. Teachers, who meet heads of households in the normal course, save on the effort of selling insurance, if they are agents.

5. None of the above. (Your answer is incorrect)

Q (12): Social responsibility is _____.

1. Broader than legal responsibility. (This is the correct answer)

Explanation : Social responsibility is a much broader concept than a legal responsibility, as legal responsibility can be fulfilled by merely complying with the law, whereas social responsibility deals with the overall welfare of society.

2. Same as business ethics.
3. Less than consumer satisfaction.
4. More than legal responsibility.
5. None of the above. (Your answer is incorrect)

Q (13): Which of the following is an example of convenience goods?

1. Soft drink. (This is the correct answer)

Explanation : Convenience goods are purchased frequently, immediately and without planning or search for alternatives. They are bought from any easily accessible outlet. Cigarettes, soft drinks, newspapers, etc., fall into the category of convenience goods.

2. TV sets.
3. Furniture.
4. Cars.
5. Fashion dresses. (Your answer is incorrect)

Q (14): How many members are there in one self help group?

1. 5-10 members.
2. 10-20 members. (This is the correct answer)

Explanation : The ideal size of an SHG is 10-20 members. In a bigger group, members cannot actively participate. Also, legally it is required that an informal group should not be more than 20 people.

3. 20-30 members.
4. 10-15 members.
5. 20-25 members. (Your answer is incorrect)

Q (15): Toxic effluents allowed to flow into the streams nearby, will penetrate the soil and the vegetables and the animals, thus having long-term consequences on the health of the people, their productive capabilities and the economy of the region, which responsibility is neglected here?

1. Legal responsibility.
2. Social responsibility. (This is the correct answer)

Explanation : Toxic effluents allowed to flow into the streams nearby, can build up dissatisfactions in an otherwise contented locality and neighbourhood, which reflects that social responsibility is neglected here with this activity of the industry.

3. Business responsibility.
4. Environmental responsibility.
5. Citizen's responsibility. (Your answer is incorrect)

Q (16): Which of the following statement is not true as an insurance intermediary?

1. Brokers may be companies, cooperative societies or limited liability partnerships.
2. Brokers may be found in both life insurance and the non-life insurance business helping customers whose insurance requirements are complex. (This is the correct answer)
Explanation : Brokers may be found in the non-life insurance business helping customers whose insurance requirements are complex. They handle big risks and need superior financial and analytical skills. Brokers are not limited to only one insurer.
3. Their services may be used by many ceding insurers as well as by many reinsurers in different countries.
4. Brokers even try to develop a unique product and find an insurer to offer that product and mediate in the negotiation of price.
5. Brokers are not limited to only one insurer. They handle big risks and need superior financial and analytical skills. (Your answer is incorrect)

Q (17): Management of organisation establish ethical standards which can be reflected better through-

1. Policy instructions.
2. Company profitability.
3. Actions of the organisation. (This is the correct answer)
Explanation : Managements of organisations establish ethical standards through large and small policy instructions. What the organisation does, will speak more loudly than what they say in policy statements. Actions clarify what the organisation's ethical standards are.
4. Brand loyalty.
5. Feedback of the customers. (Your answer is incorrect)

Q (18): What can be considered as the first communication to a prospective customer in the service industry?

1. Sales promotion.
2. Publicity.
3. Physical facility. (This is the correct answer)
Explanation : Physical facility is the first such communication to a prospective customer in the service industry.
4. Advertisements.
5. Online trading. (Your answer is incorrect)

Q (19): Which of the following stages is not included in the product life cycle?

1. Birth stage.
2. Growth stage.
3. Competitive stage. (This is the correct answer)
Explanation : The product life cycle has four stages i.e. birth stage, growth stage, maturity stage and death stage.
4. Maturity stage.
5. Death stage. (Your answer is incorrect)

Q (20): In the case of general insurance, who adjudicate on the quantum of compensation that should be paid to the third party victims of motor accidents?

1. Lok adalat.
2. Loss assessors.
3. High court judge.
4. Motor accidents claims tribunal. (This is the correct answer)
Explanation : In the case of general insurance, Motor Accident Claims Tribunal to adjudicate on the quantum of compensation that should be paid to the victims (third parties) of motor accidents.
5. Insurer (Your answer is incorrect)

Q (21): What is the main purpose of business as per today's scenario? I. Creating customers. II. Retaining customers. III. Earn maximum profit.

1. Only (iii)
2. Only (ii)
3. Only (i)&(iii)
4. Only (i)&(ii) (This is the correct answer)

Explanation : As per modern scenario, the main purpose of business is to create and retain customers.

5.Only (ii)&(iii) (Your answer is incorrect)

Q (22): Dissonance is more likely to happen when - i. The decision to buy was made in a hurry ii. The item bought is expensive. iii. The decision to buy did consider all the possible information.

1.Only i

2.Only ii

3.Only iii

4.i and ii

5.All of the above (Your answer is correct)

Explanation : Dissonance is more likely to happen when - the item bought is expensive, The decision to buy did NOT consider all the possible information completely, The decision to buy was taken in a hurry, The purchase commits one for a long term and may not be easy to reverse, The benefits of the purchase are not easily visible.

Q (23): Socio-economic groups can be classified by the marketers on the basis of- I. Status of the head of the family . II. Family life cycle. III. Income of the family.

1.Only (i)&(iii)

2.Only (i)

3.Only (iii)

4.Only (ii)&(iii)

5.All (i),(ii)&(iii) (Your answer is correct)

Explanation : Socio-economic groups can be classified by the marketers on the basis of status of the head of the family, family life cycle and income of the family. Socio-economic factors include occupation, education, income, wealth and where someone lives.

Q (24): Which of the following statement is not true?

1.India is the leading producer of sugar, tea, milk, fruits and vegetables.

2.In 2012 and 2013, India was the largest exporter of rice in the world.

3.More fruits and vegetables are lost in India than are consumed in the U.K.

4.India has 60% of the world's production of mangoes.

5.All the above statements are true. (Your answer is correct)

Explanation : More fruits and vegetables are lost in India (estimated at 30 million tonnes) than are consumed in the U.K. India has 60% of the world's production of mangoes, but Egypt, Australia and Mexico sell at a premium because of better storage.

Q (25): Who first launched Self Help Group (SHG) Bank Linkage programme?

1.RBI

2.SBI

3.Commercial banks.

4.NABARD (This is the correct answer)

Explanation : NABARD, in 1992, formed the SHG Bank Linkage Project, which is today the world's largest micro finance project.

5.Cooperative banks. (Your answer is incorrect)